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Life of the party: The polarizing effect of foreign direct investment

Zachary Cohle [a,*], Alberto Ortega [b]

[a] Saginaw Valley State University, United States of America
[b] O'Neill School of Public and Environmental Affairs, Indiana University, United States of America

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ABSTRACT

As countries are becoming increasingly connected with one each other, it is essential to study the influence multinational firms have on political outcomes in the countries where they locate. This paper examines the effects of foreign direct investment (FDI) on party vote shares in 149 countries between 1990 and 2017. We construct a database by cataloging political parties into specific political positions. We use a measure of linguistic distance between countries to construct a novel instrumental variable using the average exchange rate of the surrounding region. With this IV, we capture the relative attractiveness of FDI in host countries. Our results indicate that increased FDI causes an increase in vote shares for right-wing parties. We also find suggestive evidence of increased left-wing support in developing countries and legislative elections. We show that more moderate parties, specifically center-right parties, generally lose vote shares as FDI increases.

1. Introduction

Over the past 30 years foreign direct investments (FDI) has grown substantially due to deregulation, decreased communication costs, financial investment incentives, and international agreements. Total FDI inflow in the world increased by nearly 300% in that time frame with a large portion of this increase going to emerging economics. In 2018, low and middle income countries saw over half of all inward FDI while in 1990 only 8.7% of FDI went to these countries.[1] Much of the research on FDI focuses on the determinants of these inflows (Jadhav and Katti, 2012; Desbordes, 2010; Busse and Groizard, 2008; Bénassy-Quéré et al., 2007; Loree and Guisinger, 1995; Chakrabarti, 2001). There is much less research on the effects of FDI. This paper examines the effects of FDI on party vote shares in 149 countries between 1990 and 2017. We construct a database that catalogs political parties into specific political positions. To our knowledge, this is the most extensive election dataset dealing with elections across the world. Using this dataset, we are able to analyze the political impact of increased globalization in both the developed and developing world.

We differ from previous studies that explore the role of globalization through imports and exports by examining the role of FDI directly. FDI is distinct from other forms of globalization. While FDI has been shown to be influenced by political factors, including corruption (Egger and Winner, 2005), government budgets (Wisniewski and Pathan, 2014), economic freedom (Bengoa and Sanchez-Robles, 2003), and degree of democracy (Jakobsen and De Soysa, 2006; Adam and Filippaios, 2007), no previous study has shown the role FDI has on national political parties. As foreign firms invest in a host country, they also begin lobbying the government of the host country for more favorable policy. FDI brings positive benefits to the voting population in the form of

* Correspondence to: Department of Economics, Saginaw Valley State University, University Center, MI 48710, United States of America.
E-mail address: zhcohle@svsu.edu (Z. Cohle).

[1] This increase was found using WDI data and adjusts for inflation.

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employment, higher wages, and product variety. The negative effects of FDI include increased competition for existing domestic firms. These real effects to the lives of the host country's population causes changes in their political preferences.

Using evidence from Blanc-Brude et al. (2014), who shows that FDI location depends on proximity to other alternative FDI locations, we argue that a host country competes with its surrounding region for FDI. We build a novel IV that measures the attractiveness of the surrounding region as a possible FDI location. To build this IV, we use two variables. First, we use the average exchange rate of each country in the surrounding region to major countries from the Organization for Economic Co-operation and Development (OECD). Second, we additionally use the linguistic distance to these OECD countries to construct our IV.

Our results indicate that a one-percent increase in FDI leads to a roughly 3% increase in right-wing votes and a roughly 2% decrease in center-right votes. The right-wing results seems to be most pronounced for legislative elections (as opposed to presidential). Increasing FDI in the developing world results in increases in both left-wing and right-wing votes while center-right parties lose vote share. These results suggest that FDI may have led to increasing polarization during the time period of our study. Our findings are robust to alternate specifications as well as different IVs. Our method of using regional activity to create an IV for FDI introduces a novel, tractable, and effective way to analysis broader effects of FDI and globalization across the world despite limited data in developing countries.

As the world becomes more globalized, our results imply that trade policy, social policy, and Intellectual protection rights (IPR) policy will be affected. Specifically, we expect less social policy, more anti-immigration policy, stronger IPR-protection, and more trade policy to be enacted as right-wing parties gain more votes than any of their counterparts. The results of this paper indicate a pressing need to better adjust for endogeneity when studying multinational activity abroad. Likewise, policy makers must understand the possible political ramifications of increasing FDI. The increased polarization from FDI could cause a political party to lose a majority or even destabilize the country. Increasing FDI might then result in increasing risk that deters future multinational investment.

This paper is organized as follows. Section 2 reviews the relevant literature. Section 3 presents the hypotheses and methodology. Section 4 summarizes the data. Section 5 presents the results of the model. Finally, Section 6 concludes the paper.

2. Previous literature

The effect of globalization on political outcomes is an emerging field.[2] Previous studies have found rightward shifts in electoral outcomes due to increased immigration (Harmon, 2018; Edo et al., 2019). Related work finds that local exposure to import competition affects various socioeconomic and political outcomes. Shocks from import competition have been found to negatively affect employment, wages, and mortality (Acemoglu et al., 2016; Pierce and Schott, 2016a,b). Exposure to Chinese import competition has also been linked to increased political polarization (Autor et al., 2020), increased support for right-wing parties (Dippel et al., 2015), and anti-immigrant sentiments and racial animus (Cerrato et al., 2018; Ortega et al., 2020). There is also evidence that increases in imports decreases the vote shares of the incumbent, particularly those that are most moderate (Jensen et al., 2016). This literature argues that the threat to the employment of domestic workers may be a cause for the mobilization of voters. Unlike Pierce and Schott (2016b) and Autor et al. (2020), our method allows studies on the effects of globalization in countries where quality micro-level data is unavailable. Our paper also differs from this literature by examining FDI instead of imports and exports. While increased imports provide little benefit to domestic industries, many domestic firms, consumers, and workers benefit from FDI in the form of partnerships for both upstream and downstream firms in the surrounding area. We also study a policy relevant consequence of globalization: the change in political outcomes.

2.1. The effect of FDI on voting

Literature on the effect of FDI on voting is rare. In one of the few articles that studies this interaction, Owen (2019) shows a direct effect of FDI on local elections in Brazil. Specifically, the author finds that the announcement of a new FDI project increases the chances of the incumbent mayor winning for reelection in that town. The results of the paper imply that the benefits of FDI to the labor force outweigh any negative effects caused by the increased competition for domestic firms. Our analysis widens the scope of the effect. We consider the ideological swing caused by the increase of FDI in a number of developed and developing countries. Our results have implications for trade policy, welfare policy, and political dynamics as the world becomes more globalized.

Our paper puts forward two mechanisms through which FDI can influence political outcomes. First, FDI can affect political outcomes indirectly through the economic effects, both real and perceived. FDI has been associated with increases in economic growth in host economies that are able to absorb the benefits of the investments (Borensztein et al., 1998; Alfaro et al., 2010; Hansen and Rand, 2006). These investments can enhance the transfer of technology and increase competition, while potentially increasing the quality of firms.[3] These effects tend to be concentrated among economies that have reached at least a basic level of development or have higher quality of institutions and economic structures (Dellis et al., 2017). For instance, growth effects are more prominent in countries with larger economies (Gallagher and Zarsky, 2006) or more developed financial systems (Choong, 2012; Alfaro et al., 2010). While positive spillovers from FDI are possible, the increased competition for both inputs and market

[2] Rodrik (2020) provides a thorough literature review on the connection between globalization and right-wing populism.

[3] See Saggi (2002) for a literature survey on the topic of FDI, technology transfer, and growth. Likewise, Akhtaruzzaman et al. (2017) provide a thorough discussion on issues regarding the use of FDI in empirical models.

shares can force some domestic firms out of the market (Barrios et al., 2005). In less developed countries, FDI crowds out domestic investment (Pinto and Zhu, 2016). In our analysis, we focus on the winners and losers from increased FDI. Winners include those who gain job opportunities and domestic firms in the upstream or downstream market. Losers include those hurt from the increased competition on domestic firms. We argue that the winners from FDI are more likely to vote for political parties that promise the continuation of FDI. The losers of FDI, such as workers facing unemployment due to the existing of domestic firms, may vote towards parties with pro-social and anti-trade policies.

Second, increased involvement from foreign firms can affect political outcomes more directly via lobbying of government bodies. Grossman and Helpman (1994) develop a theoretical model where political contributions from foreign firms can influence trade policy. Following a similar framework, Gawande et al. (2006) use data on foreign political activity in the US and find that foreign lobbying can influence trade policy by lowering trade barriers for the sector that the lobby represents. Foreign firms' influence of public policy has also been attributed to bribery (Hellman et al., 2002), particularly when domestic firms are not able to exert as much influence over policy makers. Detailed data on lobbying activities in both developed and developing countries is rare.[4] Even if lobbying data is available, solely estimating lobbying effects on trade policy has a number of pitfalls associated with it (De Figueiredo and Richter, 2014). For example, there are many different methods a firm can use that can influence policy change, such as spending on lobbying, the ability of hired lobbyists, or the firm's existence in a key district. Observing a decrease in one method may indicate that resources are being put it other methods instead of a total decrease in lobbying efforts. Additionally, foreign lobbying for preferential treatment may be offset by lobbying from domestic firms. As shown by Stoyanov (2009), the existence of a domestic lobby increased import tariffs while foreign lobbying lowered import tariffs. Given that FDI affects political outcomes in ways other than lobbying, we indirectly examine both the effect of the FDI spillover spread by each multinational firm causing positive and negative outcomes and the effect of any lobbying efforts by these foreign multinational firms.

2.2. Impact of a changing political environment

The importance of this paper relates to the consequences of changing political landscapes as globalization increases. Recent work has found that differences across political parties can result in different policy outcomes. For example, Potrafke (2006) studies the allocation of public expenditures in OECD countries. The author shows that left-wing governments disbursed more funds for public service, transportation, housing, and health. Using Swedish data, Pettersson-Lidbom (2008) estimates that left-wing governments spend 2%–3% more and directly employ more (government) workers than right-wing governments. Fiva et al. (2018) study Norwegian municipalities and find that larger left-wing parties lead to increased property taxes, higher child care expenditures, and less elderly care spending. In a recent study, Girardi et al. (2020) uses a regression discontinuity method to show that left-wing electoral victories result in a short-term decrease in stock market valuations. The party of political leaders has also been found to affect labor market outcomes, environmental protection, education spending, and business destruction (Ortega, 2020; Beland and Unel, 2019, 2018; Beland, 2015; Beland and Boucher, 2015). Increased polarization can also cause destabilization of many aspects of the economy. For example, Keefer and Knack (2002) show that social polarization causes destabilization of property rights and thus less economic growth.

One of the most important effects of FDI on the political process relates to trade and IPR-policy.[5] Throughout much of the previous literature on multinational activity in foreign countries, IPR-protection is often identified as possibly being endogenous (Canals and Şener, 2014; Branstetter et al., 2004; Bilir, 2014; Ivus et al., 2016; Cohle, 2021). The presence of foreign multinational enterprises may affect the political realm in two distinct ways. First, governments may feel obligated to pass policy that benefits these multinational firms, such as strengthen IPR-protection, in order to prevent any FDI channels from closing. Loree and Guisinger (1995) find empirical evidence that policy, such as investment incentives, can attract US direct investment abroad. Pinto and Pinto (2008) also find evidence of FDI levels reacting to the political party in power. FDI brings employment opportunities and technology transfer (Cohle, 2019b,a). The positive benefits can be perceived by the voting population. Thus, political parties that are naturally more open to globalization may gain extra support as a result of the perceived positive benefits of foreign multinational activity. Second, multinational firms have an incentive to lobby political parties to pass beneficial legislation for foreign multinational firms, including deregulation and increased protection on patented goods. Despite the recognition of this endogeneity problem, previous papers have not developed a tractable way of adjusting for causation problems[6]. In this paper, we address the endogeneity issue associated with FDI and attempt to establish a causal link between foreign multinational activity and the political realm in a country. In showing this link, we provide an argument that the amount of attention paid to this endogeneity issue is insufficient.

[4] In more corrupt countries, lobbying might not be the effective way for firms to gain political favors. Egger and Winner (2005) find evidence of corruption acting as a "helping hand" for foreign multinational firms. Attempts to measure lobbying in these areas would undervalue the effort firms extend towards changing policy.

[5] The determinants of trade related policy have been explored in the past (Bown and Tovar, 2011; Gawande et al., 2011). Henisz and Mansfield (2006) determine that domestic factors, specifically the unemployment rate and the veto power of individuals in government, influence a country's international trade policy. The authors find that deteriorating macroeconomic conditions contribute to a worsening trade policy unless the government has a large amount of veto power to prevent domestic lobbying from pushing trade restrictions.

[6] In order to address the endogeneity problem, both Canals and Şener (2014) and Branstetter et al. (2004) use a methodology of normalizing a year of major policy reform and introducing dummy variables for each year before and after the year of reform. This method checks for a rising trend in multinational activity in the host country that could cause an incentive for policy reform. A flaw in this method relies in the limitations of statistical analysis itself. Both studies find no statistically significant coefficients on the year dummy variables, which indicates no evidence supporting or refuting an upward trend.

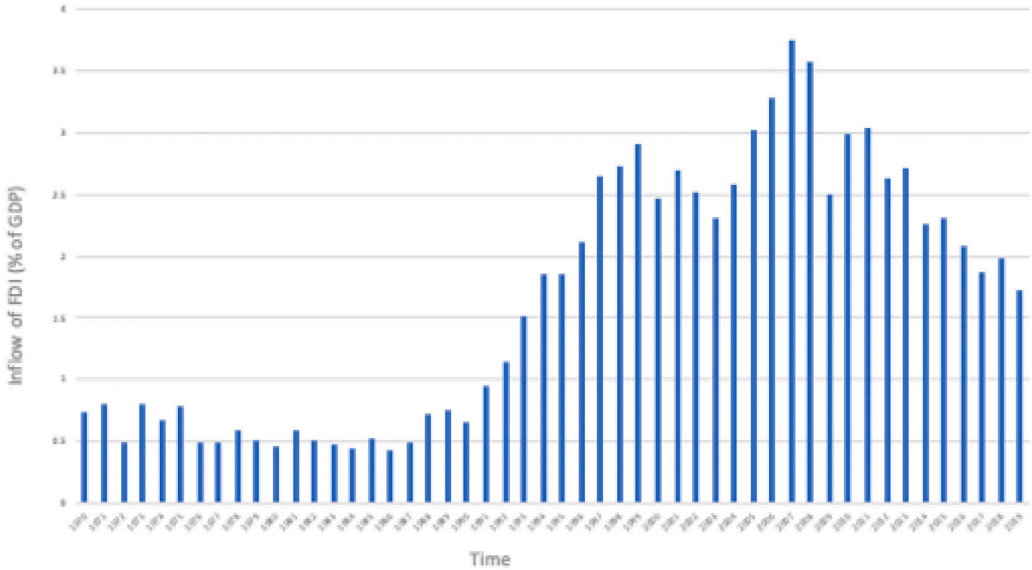

Fig. 1. FDI Inflow in Low and Middle Income Countries. *Note:* Data collected from the World Bank's WDI database.

2.3. Developing countries

As seen in Fig. 1, the amount of FDI flowing into developing countries has steadily grown significantly since 1970. As FDI inflow has increased in emerging economies, it has become increasingly important to study the effects of FDI on the political environment in developing countries. Policy makers in both developed and developing countries must understand the full effect of increased FDI to low and middle income countries in order to achieve their desired outcomes. Increased FDI can stunt growth of developing regions by creating an unstable political environment. Political uncertainty has been shown to create economic volatility (Klomp and de Haan, 2009; Fatás and Mihov, 2013). Poor economic performance has been shown to increase political volatility in the developing world (Weghorst and Bernhard, 2014). Baek and Qian (2011) show that increased political risk deters FDI. Few studies have shown that external economic factors cause political instability. Kuenzi et al. (2019) show that electoral volatility is less in African countries with more foreign aid. In our paper, we show that increased FDI affects political stability by shifting votes to the extreme edges of the political spectrum.

Studies on multinational firm lobbying and political changes in the developing world are undeveloped in the literature. As stated by Saha (2019), evidence on the effectiveness of lobbying in developing countries is rare. There is a lack of reliable data on foreign lobbying in many countries. Desbordes and Vauday (2007) use survey data from firms in developing countries to show that foreign firms obtain fiscal and regulatory advantages that result in favorable entry conditions, such as lower taxes. The authors are unable to observe actual lobbying efforts. Cole et al. (2006) also avoid the need for lobbying data by using the degree of public infrastructure and the market size as instrumental variables to show FDI's effect on environmental regulation on a set of developed and developing countries. The authors do not examine the effect on developing countries separately. Owen (2019) studies only one emerging economy, Brazil, to show that incumbents benefit from increased FDI. We expand this literature by focusing on FDI in 115 developing countries without the need for lobbying data. Our results suggest that increased FDI creates polarization in developing countries.

3. Methodology

There are two mechanisms by which FDI can affect political outcomes: FDI spillover, lobbying. Due to a lack of data and complications in measuring the lobbying effects (De Figueiredo and Richter, 2014), we focus on the outcome of lobbying rather than the effort put into lobbying.[7] FDI spillover effects are less opaque; however, we are more concerned with the way in which the economic effects are perceived by the public. Margalit (2019) argues that the role of economic outcomes in propelling right-wing parties is overstated in the literature. The author highlights the importance of people's subjective assessments of economic change.[8]

[7] Previous literature has also taken this strategy to examine foreign firms and their political influence in a host country. For example, Cole et al. (2006) regresses FDI on environmental regulation using an instrumental variable approach.

[8] Other authors have found that attitudes prevail over real world effects in voting outcomes. For example, despite heavy polarization in the attitudes of Turkish citizens towards refugees from Syria, Altındağ and Kaushal (2020) shows that political outcomes were not significantly affected by the immigration of refugees. Owen (2019) finds that the announcement of a new FDI project is enough to cause political shifts.

Without survey evidence, the shifts in attitudes are difficult to measure. We are thus unconcerned with the actual mechanism that causes the political shifts.[9] Instead, we focus on the effect FDI has on the vote shares of parties at each section of the political left–right spectrum.

To test this connection between FDI and vote shares, we regress FDI on votes for parties at each section of the left–right political spectrum in a number of countries. We employ an IV regression research design to control for an influence of the political process on FDI. We construct an IV that proxies the attractiveness of the surrounding region of a country as an alternative FDI location. To construct this variable, we use exchange rates and the linguistic distance between countries in a region and OECD countries. In Section 3.1, we outline the hypotheses tested in this paper. In Section 3.2, we discuss our IV method in further detail.

3.1. Hypothesis

The effects of FDI on political factors are not obvious ex ante. We must examine the likely effect of the increased lobbying that is brought in by multinational firms. Multinational firm lobbying should benefit parties who are in favor of trade. Le and Yalcin (2018) show that lobbyist will make contributions towards only one political party with policy that aligns closets to the ideal policy of the lobbyist. We can expect multinational firms to lobby parties in their host country that have polices that are more favorable to foreign firms. Right leaning parties have been associated with more openness to trade (Milner and Judkins, 2004). Furthermore, Adam and Filippaios (2007) find evidence that multinational firms prefer to invest in countries where civil liberties are relatively low to avoid high labor costs. Given that left-wing parties tend to be in favor of increasing civil liberties, such as strengthen the power of labor unions, we expect lobbying funds from foreign multinational firms to flow to the right side of the political spectrum.

In addition to any pecuniary effects, increased FDI activity may indirectly affect the political environment by affecting perceived economic conditions of the voting population. This can benefit right-wing parties in two ways. First, there are the winners from FDI. Citizens who directly benefit from the increased job opportunities, higher wages, and increased product variety will be more likely to vote for pro-trade right-wing parties to keep these benefits continuing in the future. FDI has been shown to increase wages paid by domestic firms in the same industry while decreasing the exit probability of those domestic firms (Lu et al., 2017).

Second, the losers from FDI may also vote for right leaning parties. Workers who lose employment due to domestic firms' initial struggle with the increased competition on both the labor and product market can shift to right-wing parties who appeal to any anti-immigration attitudes that have been amplified due to the negative FDI spillover. Parties on the right of the political spectrum tend to be more reactive to public opinion and global economic conditions than parties towards the left end of the political spectrum (Adams et al., 2009). By shifting their platform to better address public opinion regarding increased globalization, right leaning parties can also capture some of the population who is negatively affected by FDI. Attitudes on free-trade have been shown to be unaffected by increased imports in an area; however, anti-immigration views increased (Cerrato et al., 2018). In the face of increased imports from China, conservative politicians in the United States have benefited by appealing to voters with increased anti-immigration attitudes. Autor et al. (2020) show increased import competition in the US increased viewership for the conservative leaning news network "Fox News".

Hypothesis 1. More FDI activity flowing into the host country increases the vote share of right-wing political parties in that host country

While left-wing parties tend to take stances against trade and globalization, they are often ideologically centered around providing protection for workers and expanding within nation social policies. As such, left-wing parties have the opportunity to capture vote share in the form of voters who have become economically insecure from the increased FDI. Gomez and Ramiro (2019) find strong evidence that radical left parties gain vote shares in European countries as unemployment increases. With incoming FDI, some workers will become more economically insecure. For example, Barrios et al. (2005) show that a continuous increase in FDI first deters domestic firm entry due to the increased competition. Likewise, firms can lose market share as a result of increased competition (Lu et al., 2017). Negative FDI spillover can also come in the form of increased corruption and less domestic investment (Pinto and Zhu, 2016). Left-wing parties may also gain vote shares if the increased FDI brings citizens into the industrial workforce. Albanese and de Blasio (2021) shows that industrialization cause left-wing parties to gain vote share as more of the voting population find the need for pro-worker representation.

While the negative effects of FDI may push people to more anti-trade parties, those effects dissipate over time. For example, Barrios et al. (2005) shows that increasing FDI causes domestic firms to eventually enter the market at a higher rate. The increased FDI produces positive externalities, specifically due to their demand for domestic intermediate goods, which strengthens the domestic industry overall. Furthermore, right-wing parties have the chance to capture a larger set of voters. That is, these parties attract winners and losers from FDI. Right-wing parties also have access to lobbying funds from foreign firms. We expect to see left-wing parties capture more votes as FDI increases; however, right-wing parties should be able to capture more votes than left-wing parties.

Hypothesis 2. More FDI flowing into the host country increases the vote share of left-wing political parties in that host country at a lower rate than right-wing political parties

[9] A major flaw in this method is that we are unable to disentangle the effects of lobbying and FDI spillover. Furthermore, it is difficult to determine which aspect of FDI spillover causes the most change in political attitudes. In this paper, we first establish the relationship between FDI and political outcomes. More detailed data on the labor market surrounding each election is needed to determine more specific FDI effects. We leave research focused on unraveling the political effects for future studies.

While we are primarily interested in these two core hypotheses, we also test a number of additional hypotheses with our rich data set. First, since both extremes of the political spectrum see an influx of voters, the parties located around the center should see a decrease in votes. The voting population is drawn away from center parties as citizens either reap the benefits of trade or react against it. As political parties become more polarized, public opinions begin to become more polarized and entrenched (Druckman et al., 2013). This effect encourages partisan thinking and party based decision making. As such, we expect the parties in the center will have difficulty swaying voters back into their party.

Second, we expect Hypotheses 1 and 2 to hold for developing countries. Given that developing countries have the opportunity for rapid growth, the benefits of FDI can have a comparatively greater effect on citizens in developing countries. In context of Hypothesis 1, right-wing parties in developing countries should be able to gain more voters that their counterparts from developed countries due to the larger change in the economic situation of the voters. In contrast, right-wing parties in developed countries may be better situated in taking advantage of anti-immigration sentiments as a result of increased FDI that may not be as present in developing countries. While the large increase in economically advantaged voters will likely result in an increased vote share for right-wing parties in developing countries overall, the magnitude of the effect on right-wing parties in developing countries versus developed countries remains unclear. In context of Hypothesis 2, left-wing parties in developing countries are able to capture economically disadvantaged voters at an increased rate than their developed countries counterparts. Less social safety nets may exist in order to alleviate negative effects of FDI. Developed countries tend to have stronger economic institutions and policies that prevent economic fluctuations. We expect Hypothesis 2 to be more pronounced in developing countries.

Finally, we test if voters respond differently to FDI when voting in presidential elections than legislative elections. Voters often vote for different parties on their ballot. For example, Marien et al. (2015) find that one quarter of voters in local Belgian elections in 2012 voted for a candidate of a different party than their federal preference. Voters may vote against their preferred party in the lower chamber due familiarity with the candidate or specific candidate characteristics (Marsh, 2007). A voter's familiarity with a candidate remains constant as FDI increase. This discrepancy in voting could affect the magnitude of FDI's effect; however, we still expect Hypotheses 1 and 2 told hold in both presidential and legislative elections.

3.2. Instrumental variables—two stage least squares

Before we can make any conclusions, we must contend with confounding factors that would bias our estimates. Naive estimates of the effects of FDI measures on host country vote shares can be obtained using the following reduced form OLS specification:

$$V_{it} = \beta_0 + \beta_1 FDI_{it} + \alpha_i + \gamma_t + u_{it} \tag{1}$$

where V_{it} is a measure of party vote share or the number of logged votes in a host country i during election year t, FDI_{it} are measures of FDI activity discussed in the next section, and α_i and γ_t are country and year fixed effects, respectively. Our variable of interest is β_1; however, any measure of FDI is endogenous and leads to biased estimates of β_1. Namely, we may run into issues of reverse causality. For example, voters in host countries may elect conservative representatives, because they are able to more readily attract FDI through policy, diplomacy, etc. Put another way, it may be that vote shares cause FDI. In this case, FDI would not affect support for conservative candidates, but conservative candidates would experience increases in FDI through their own efforts. Thus, it would not be appropriate to attribute any effects on political composition, obtained via OLS, solely to FDI. In addition, our main specification uses an FDI measure that is lagged by one year in order to assist in addressing the issue of reverse causality. The lagged FDI measure also allows for the effect of FDI to be realized on the voting population.[10]

To address the endogeneity issue, we employ an IV-2SLS approach. This method addresses the endogeneity concern by introducing another variable (i.e. an instrument) that naturally induces the exogenous variation in the endogenous regressor. The exogenous instrument must exist outside the explanatory equation but be highly correlated with our endogenous variable, FDI_{it}. We construct a novel IV using two different variables: the average linguistic distance to OECD countries, the surrounding region's average exchange rate with OECD countries.

Our main IV's correlation with FDI relies on two assumptions. First, we assume that a devaluation of currency in a host country decreases the cost of FDI. Second, we assume that differences in linguistic origin raise the cost of FDI in a host country. Our first assumption has long established support in previous literature. Froot and Stein (1991) find that a depreciation in the domestic currency leads to an increase in FDI due to a relative reduction in domestic firms' wealth. Wang and Wong (2007) extend this logic to FDI outflows. The authors find an appreciation of a domestic country's currency increases that country's FDI outflow. Other studies have also found a relative devaluation of a host country's currency increases FDI inflow into that country (Takagi and Shi, 2011; Buch and Kleinert, 2008).[11] Dutta and Roy (2009) use a host country's exchange rate as an IV for FDI inflow when examining that country's degree of press freedom.

We also use the linguistic distance, or a measure of the phonetic differences between two languages, between all OECD countries and the primary or official languages in each host country's region to build our IV.[12,13] Language plays an important role in

[10] We also consider a longer impact period with up to five years lagged. See Fig. A.3

[11] Blonigen (2005) provides a thorough survey of literature pertaining to the determinants of FDI; exchange rates are a common driver of FDI. Exchange rate volatility has also been shown to deter FDI investment (Wang and Wong, 2007; Takagi and Shi, 2011)

[12] We define linguistic distance in greater detail in Section 4.

[13] We had considered using only linguistic distance to all OECD countries as an IV; however, the IV did not vary significantly over time. By using both region exchange rate and linguistic distance, we ensure that the IV is sufficiently correlated with FDI while adding in enough variation to use country and time fixed effects.

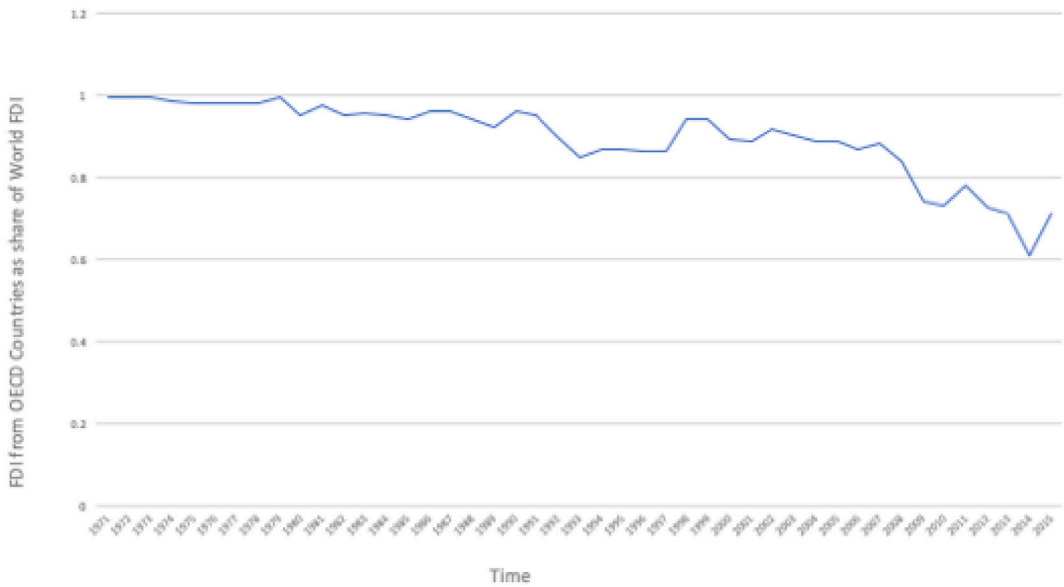

Fig. 2. Share of World FDI Outflow from OECD Countries. *Note:* Data collected from the World Bank's WDI database.

conducting business. These differences can create difficulties for entrepreneurs. When seeking investment opportunities, a lack of proficiency in a common language can act as a barrier in searching for and contracting labor as well as managing operations. By using linguistic distance, we are measuring both the language and cultural barriers associated with investing into the country. Firms tend to invest more in countries which they share a language (Di Giovanni, 2005). Kim, Lu, and Leblang (2015) find that countries that introduce English learning programs or policies experience an increase in FDI. In addition, Antonakakis and Tondl (2011) find that a large share of US FDI has been increasingly concentrated in the United Kingdom and Ireland; they attribute this in part to a common language. We consider the distance to OECD countries due to the large degree of investment that flows out of these countries. Fig. 2 shows the share of outflow FDI in the world from OECD countries overtime. In the 1970's nearly all FDI in the world originated from OECD countries. While other countries have begun investing in foreign countries in the last decade, OECD countries still make up at least 60% of total FDI in a given year with the exception of 2018.

Given that exchange rates and language dissimilarity may also be endogenous, we look to the surrounding region to ensure there is no connection between our IV and dependent variables. Thus, our IV is constructed using the exchange rate and linguistic distance information of the countries that surround country i. Specifically, we build an IV that examines the average exchange rate of the region, excluding the host country, relative to the average of OECD countries using linguistic distances as weights.[14] Intuitively, we are measuring the attractiveness of the surrounding region in terms of FDI. Blanc-Brude et al. (2014) show that a host country's close proximity to alternate possible FDI locations increases the likelihood of FDI inflows. If market-seeking is a motivation for FDI, multinational firms will be more willing to invest in locations that will allow them easy access to multiple different markets that were once unreachable. Therefore, we expect our IV to be negatively correlated with FDI inflows into a host country in our data. As the countries surrounding the host country become relatively more attractive to FDI than the host country, the host country will see less FDI.

Using economic variables from the surrounding region as an instrument for FDI has proven effective in the past. Jude (2019) uses the capital flow of the region to act as an IV for FDI. Tomashevskiy (2017) uses the average GDP of a country's surrounding regional neighbor countries weighted by the physical distance to the country as an IV for FDI when determining the effect of FDI on military coups. One specific strength of using a regional average is the limitation of any one specific country in the region influencing the political outcomes of the host country. Political turmoil in a single country in a region may create fluctuations in that country's exchange rate; however, it is unlikely to have a significant effect on the entire average. Therefore, the political realms of the host country and other countries in the region are unlikely to be connected through our IV. We offer some empirical evidence of this in Section 5.1.

Under the assumption that a region's average exchange rate and linguistic distances to OECD countries allow us to explain the exogenous variation in FDI, we can explain the first stage as

$$FDI_{it} = \delta_0 + \delta_1 IV_{it} + \alpha_i + \gamma_t + \mu_{it}. \tag{2}$$

[14] We also built an IV that included each host country's exchange rate in the regional average as well. The results, reported in Table A.10, are similar to the results present in this paper.

Our identifying assumptions implies that multinational activity affects host country vote shares via the weighted average regional exchange rate to major OECD countries. In order to construct the IV, we first find the average exchange rate to major OECD countries for all other countries in the host country's region. We leave out the host country's exchange rate due to any possible political influence on exchange rate changes. Thus, we can express Average Region Exchange Rate, $\overline{REX}$, as

$$\overline{REX}_{ijt} = \sum_{z \neq i}^{n} \frac{\text{exchange}_{zjt}}{n} \quad \text{for } \forall z \in k \tag{3}$$

where exchange_{zjt} denotes the exchange rate (LCU per OECD country currency) between host country z and OECD country j during time t. For each country i in region k, we construct the average exchange rate in that region while excluding country i. In Eq. (3), the variable n then represents the number of countries in the region that are not country i.[15]

We then use $\overline{REX}_{ijt}$ to build an average exchange rate over every main OECD country that may be investing in country i.

$$\text{IV}_{it} = \frac{\sum_{j=1}^{m} \overline{REX}_{ijt} \times w_{ij}}{\sum_{j=1}^{m} w_{ij}} \tag{4}$$

where w_{ij} is the weight of each OECD country. Since we are concerned with the amount of FDI flowing out of these OECD countries, we use a series of weights intended to reflect the possible amount of FDI outflows. Specifically, we use linguistic distance to weight the importance of that specific OECD country in terms of FDI. That is, countries with less linguistic distance to the region will likely invest more.[16] Since countries that are more attractive to FDI should be weighed more in our IV, we use the inverse of linguistic distance as weights. Devaluations of OECD currency relative to countries with a high degree of linguistic barriers are then weighed less in the IV.

Additionally, we construct two other IVs using physical distance and GDP as weights.[17] The logic behind using physical distance as a weight is similar to that of linguistic distance. As physical distance increases, it adds an additional barrier to investing. Multinational firms may have difficulties with coordination of activities, transportation of key materials, or bridging culturally differences.[18] Numerous studies have shown increased physical distance decreases the level of FDI (Di Giovanni, 2005; Bevan and Estrin, 2004). We use the inverse of physical distance from the host country and the OECD country as a weight. As physical distance increases, the country is weighted less in the IV. The GDP of the OECD country is also used as a weight due to the established positive relationship between GDP and outward FDI (Bevan and Estrin, 2004).

Our final IV for each observation can be described as the average region exchange rate to the average OECD country. Intuitively, when completely constructed, the IV represents the value of the main OECD countries' currencies relative to possible FDI locations. An increase in the IV equates to an increase in the value of each OECD country's currency relative to the currency of the region. As the value of the OECD currencies increase relative to a region, the OECD countries are more likely to invest that region. An increase in the IV measure then translates to a decrease in FDI in the host country as more FDI goes to the surrounding region instead of the host country.

The estimation of Eq. (2) provides exogenous predictions, $\widehat{FDI_{it}}$, that can be used in the second stage:

$$V_{it} = \beta_0 + \beta_1 \widehat{FDI_{it}} + \mathbf{X'_{it}}\gamma + u_{it}. \tag{5}$$

Our estimate of $\widehat{FDI_{it}}$ should be composed of the exogenous variation of multinational investment and is thus independent of unobservable vote share determinants in the host country. Therefore, our estimate of β_1 using 2SLS should be unbiased. Our main specification weights by host country's population, and all standard errors are clustered by host country. Note that our main specification does not include control variables, because FDI may be co-determined and influences the control variables of interests. For example, a large amount of FDI may be a consequence of economic growth. Therefore, controlling for economic growth may

[15] For example, the country of South Africa in 2000 would have the following calculation as the average region exchange rate to the OECD country of France: $\frac{\text{exchange}_{\text{N,F,2000}} + \text{exchange}_{\text{L,F,2000}} + \text{exchange}_{\text{B,F,2000}}}{3}$, where $\text{exchange}_{\text{N,F, 2000}}$ represents the exchange rate (Namibian Dollars per Euro) between Namibia and France in 2000. Likewise, $\text{exchange}_{\text{L,F,2000}}$ represents the exchange rate (Loti per Euro) between Lesotho and France in 2000. Finally, $\text{exchange}_{\text{B,F,2000}}$ represents the exchange rate (Pula per Euro) between Botswana and France in 2000.

[16] For example, for the country of South Africa in 2000, the calculation would be as follows:

$$\text{IV}_{\text{SA,2000}} = \frac{\left(\overline{REX}_{\text{SA,F,2000}} * \text{LD}^{-1}_{\text{SA,F}}\right) + \left(\overline{REX}_{\text{SA,US,2000}} * \text{LD}^{-1}_{\text{SA,US}}\right) + \cdots}{\text{LD}^{-1}_{\text{SA,F}} + \text{LD}^{-1}_{\text{SA,US}} + \cdots}$$

where Average Region Exchange $\text{Rate}_{\text{SA,F,2000}}$ represents the average region exchange rate between Southern Africa (excluding South Africa) and France in 2000. Likewise, Average Region Exchange $\text{Rate}_{\text{SA,US,2000}}$ represents the average region exchange rate between Southern Africa (excluding South Africa) and the United States in 2000. The weights, the inverse linguistic distances, are represented as $\text{LD}^{-1}_{\text{SA,F}}$ and $\text{LD}^{-1}_{\text{SA,US}}$, where the values calculate the linguistic distance between South Africa the OECD country, France and the United States, respectively.

[17] Both GDP and physical distance have been used in instrumental variables for FDI in the past. For example, Pinto and Zhu (2016) construct an IV using the Cook's distance with physical distance and GDP when determining the effect of FDI on corruption.

[18] Horizontal FDI can have a positive relationship with distance (Egger, 2008). Given physical distance often implies large transportation costs, horizontal FDI can be seen as a substitute to exporting to a distant region. Given that our measure uses all FDI inflow, we expect a negative relationship between physical distance and FDI.

affect the estimate of FDI on voting-related outcomes. Moreover, many of the control variables of interest are not populated for all years in the data leading to a decrease in the number of observations.[19]

While our IV is negatively correlated with FDI, we must also guarantee that the IV has no relationship with the political process. Two considerations went into the construction IV. First, the IV should not affect any media that may influence political outcomes within a country.[20] Second, the IV should not affect any economic outcomes within the country that would influence political outcomes. There is the possibility that a lowering of the average region exchange rate to the average OECD country could destabilize a region's economy through a decrease in FDI. The destabilization could result in disruptions in the political process. Ades and Chua (1997) find evidence that political instability in a country's region decreases that country's economic growth; however, the authors use the number of revolutions and coups per year to index political instability. Furthermore, the authors define regions as only bordering countries. Our measure includes a wider definition of region. It is difficult to make the case that exchange rate fluctuations significantly contribute to coups in a country.

The connection between politics and exchange rate is much clearer when looking at one country. A single country may have political instability that creates devaluation or vice versa; however, grouping this country with the entire region decreases the impact that this political stability would have on the political realm of the host country (Tomashevskiy, 2017). By combining a number of countries into our IV, we also decrease the probability that fluctuations in the exchange rate would effect the political instability of the entire region enough to have any noticeable or significant effect on a host country's own political process. The mechanism for this influence on a host country's political process is also weak. A possible source of influence relies on the connections between exchange rates and FDI, FDI and political stability of the region, and then the political stability of the region and the economic growth of the host country.

4. Data

Our dependent variables are defined as the number of votes and the vote shares for different political parties. Vote shares are defined as the number of votes for a political party divided by the total number of votes cast in that election. Vote shares are then bounded by zero and one. National vote share data comes from the Psephos Adam Carr's Election Archive.[21] This archive contains comprehensive election outcomes for political parties for nearly every country where voting records are available, since the mid-1980s. All election data is from lower house legislative or presidential races. Although comprehensive, a limitation of the election data is that parties are not assigned a political ideology or political position. Political positions are classified based on Lane et al. (1997) and based on researching party websites.[22,23] Parties are placed into one of six political positions: center, center-left, center-right, left-wing, right-wing, and other. Another limitation of using political datasets is that national elections do not occur every year for which there is FDI activity data, which limits the size of our sample. However, focusing on national elections in the lower house and presidential elections of each country allows for the most wide reaching data while holding the type of election constant.

We collect data on 886 elections and 8,240 total political parties in 149 countries in 21 regions.[24] Our dataset is significantly larger than any other dataset used to examine voting outcomes.[25] Table 1 reports the average number of votes and the vote shares for each political position over the time of our sample, 1990–2017. In our analysis we focus on (1) the vote share for each position, defined as the total number of votes for a political position in country divided by the total number of votes; and (2) the logged number of votes for a political position. The political data shows a few interesting trends. First, developed countries tended to be more moderate while developing countries tended to be more polarized. While developed countries had over 17% of elections going to center parties, developing countries had 14% of elections going to these moderate parties. Developing countries are more right leaning with 13% of elections being won by right-wing parties. Developed countries only saw 7.2% of elections going to right-wing parties. Likewise, developing countries saw 8.2% of all elections go to left leaning parties while developed countries only had 6.4% trend to left-wing parties. Developed countries did have an overwhelming amount of center-left wins however. Elections in developed countries had a center-left party winner 28% of the time. Also, South America tends to be the most left leaning with 23% of elections trending to the left. On the other side of the political spectrum, Central America has the highest percentage of right-wing wins at nearly 45%. Eastern Asia is the most moderate region with 42% of elections being won by center parties. On

[19] Nonetheless, we include additional control variables in Tables A.2 and A.3. Table A.2 reports the results by including one control at a time and then Table A.3 includes all control variables.

[20] A close linguistic distance could mean that an OECD country's media is more widely available in the host country. Thus, the host country may be more receptive to parties that are in favor of further globalization. While there is an argument to be made that our weights using linguistic distance could effect political outcomes via media, we use a number of OECD countries with a variety of languages to mitigate any possible connection between one specific OECD country and host country. So, any connection of media and influence brought on by the use of linguistic distance between OECD countries and a region would not affect the host country's political system in a systematic way. We also use alternate weights in Section 5.3. The results imply that the inclusion of linguistic distance does not bias the IV measure.

[21] http://psephos.adam-carr.net/about/about.shtml.

[22] More details are provided in Appendix B.

[23] We present a list of parties and their assigned political position on our website.

[24] A list of countries and the years of their elections is presented in Table B.1 in Appendix B.

[25] For example, a similar paper that examines the effect of immigration on voting only uses 126 parties during 28 elections in 12 countries (Moriconi et al., 2019)

Table 1
Summary statistics.

	Mean	Std. Dev.	Min	Max
Center Votes	210.126	834.290	0.000	14774.912
Center-Left Votes	511.480	2501.226	0.000	35751.867
Center-Right Votes	203.613	608.556	0.000	9546.732
Left-Wing Votes	103.950	840.521	0.000	18825.805
Right Wing Votes	314.038	1780.682	0.000	36737.477
Other Position Votes	464.722	2655.811	0.000	62437.754
FDI Net Inflows	20.643	2.517	10.708	26.956
Log(FDI Net Inflows)	13182.686	46050.041	0.045	509087.000
Region Linguistic IV	28.318	51.120	0.344	887.652

Notes: Votes are reported in units of 10,000 votes and FDI Net inflows are reported in units of 100,000 USD. $N = 886$.

Table 2
Economic impact of surrounding region.

	(1) Center	(2) Center Left	(3) Center Right	(4) Left Wing	(5) Right Wing	(6) Other
			A. Log(Votes)			
Region GDP	2.472	−1.480	−1.487	−5.163	0.620	−1.602
	(2.689)	(3.785)	(2.460)	(2.721)	(3.888)	(1.812)
Region Exchange	0.0312	−0.154	0.186	0.206	0.467	0.0979
	(0.197)	(0.237)	(0.248)	(0.242)	(0.339)	(0.0887)
			B. Vote Shares			
Region GDP	0.116	0.0220	−0.112	−0.0456	0.171	−0.151
	(0.0860)	(0.148)	(0.0776)	(0.0484)	(0.114)	(0.184)
	−0.00304	−0.0188**	0.00246	0.000293	0.00966	0.00947
Region Exchange	(0.00634)	(0.00707)	(0.00546)	(0.00256)	(0.00904)	(0.00934)

Notes: Each panel regresses the logged GDP and logged average exchange rate of the region on either the logged votes (Panel A) or vote shares (Panel B) for each political position.

average, most regions seem to be around 5 elections per country over the time of the sample. Central America is above that average in between 2000–2010 and Southeast Asia is consistently below that.[26]

We collect FDI data from the World Bank's WDI tables.[27] Our FDI data shows an upward trend throughout the time period. For example, the world inflow of FDI is 515% higher in 2015 than in 1990. Given that elections in different countries occur at different times during a given year and to allow enough time for the effects of FDI, we use FDI in year $t - 1$. The mean of our FDI measure is reported in Table 1. On average FDI is about $13 billion.[28]

As discussed, using OLS to estimate the effects of FDI activity on vote share can lead to biased estimates. Thus, a key component in our estimation strategy will be determining the ease at which the citizens of a country's surrounding region can learn the languages of major countries that would be investing via FDI. Thus, we introduce an instrumental variable for the IV 2SLS analysis. We build an IV that takes the average exchange rate of the region, excluding the host country, relative to the average of OECD countries while using inverse linguistic distances as weights. Linguistic distance approximates the ease at which multinational companies can do business in another region. Using the Automatic Similarity Judgement Program (ASJP) database, we construct a measure for linguistic difference based on the phonetic distance between two languages.[29] The ASJP dataset collects 40 item word lists in different languages to compare based on their pronunciation. We then use an algorithm developed by Bakker et al. (2009) to find the linguistic distance between the primary language of an OECD country and the primary language of each FDI host country.[30] A lower distance value indicates a higher probability of the two languages sharing characteristics, such as grammar. Low values of linguistic distance then indicate that speakers of one language can more easily learn the other language. For example, countries such as Australia and the United States, where English is the official language, have a linguistic distance of one. Conversely, countries such as the United States and Japan are assigned a larger linguistic distance score, specifically 98.46. With a large distance between languages, there is an extra barrier to operating in a country (or region).[31]

[26] In Fig. B2 of Appendix B, we also plot elections (per country) over time for each region. To conserve space, we combine some of the regions.

[27] http://wdi.worldbank.org/tables.

[28] We also tested our regressions with logged FDI per capita. The results presented below in this paper do not change greatly with the alternative FDI measure.

[29] Hutchinson (2005) uses a related measure, the average test score of US American language students learning different foreign languages, to build a gravity model that includes linguistic distance. Our measure of linguistic difference corrects for problems associated with the one used by Hutchinson. For example, Hutchinson's model assumes the difficulty which American students have with learning a foreign language is equal to that of a native speaker of that foreign language learning English.

[30] Isphording and Otten (2013) provide a detailed explanation of the ASJP dataset and the linguistic distance measure.

[31] Cultural distance has been seen to be negatively correlated with FDI in previous literature (Loree and Guisinger, 1995).

Table 3
First-stage.

	(1) IV-Linguistic	(2) IV-GDP	(3) IV-Geographic
Log(FDI)	−0.00100*** (0.000136)	−0.000955*** (0.000127)	−0.00113*** (0.000219)
N	886	886	894

Notes: First-stage estimates from Eq. (2) are reported for the Linguistic distance, GDP, and Geographic distance IVs, respectively.

Table 4
FDI and vote shares—OLS.

	(1) Center	(2) Center Left	(3) Center Right	(4) Left Wing	(5) Right Wing	(6) Other
Log(Votes)	−0.108 (0.298)	0.577 (0.357)	−0.148 (0.208)	−0.234 (0.225)	0.866** (0.290)	−0.100 (0.101)
Vote Share	−0.0273* (0.0132)	0.0140 (0.00961)	0.000265 (0.00641)	−0.00165 (0.00524)	0.0247* (0.00981)	−0.0101 (0.0126)
R-squared	0.724	0.740	0.802	0.825	0.784	0.725

Note: $N = 741$. Each entry represents a separate regression where the outcome is the logged number of votes or share of total votes for a particular political position. The estimation uses the OLS method, from Eq. (1), and includes control variables reported in Table A.3. R-squared is reported for the first row, Log(votes). Stars indicate significance with * p<0.10, ** p<0.05, ***p<0.01.

Our average region exchange rate is calculated using data on exchange rates from the WDI database. We combine this average region exchange rate with the linguistic distance between the region and OECD countries to create Region Linguistic IV. This IV measures the attractiveness of the region to FDI. In Table 1 we see that the average attractiveness of a region to FDI from OECD countries is 28.948. The IV's lowest value is 0.344, which represents the least attractive region to invest. The most attractive region has a IV value of 887.65. Additionally, we consider two alternate weights for our IV to confirm our results: geographic (physical) distance, GDP. Official language as well as spatial geographic distance is collected from CEPII's GeoDist database.[32] The WDI database provides GDP data and additional controls for our regressions.

After combining our datasets we are left with a maximum possible number of 886 country-election-year observations. There are 34 developed countries and 115 developing countries in our final dataset.

5. Results

5.1. First stage and validity

One possible concern about our IV is that the exchange rate or economic prosperity of surrounding regions may directly affect a host country's vote shares (i.e., endogenous). To address this concern, we regress a host country's vote shares on the log average GDP and log average exchange of the surrounding region along with country and year fixed effects. Statistically significant effects of these variables in the direction of our results would indicate that using the surrounding region's economic variables to construct the IV would be problematic. Table 2 presents these results. From the table, we do not see that the economic conditions of the surrounding regions are correlated with the host country's vote shares.

We also want to ensure that our instrument is sufficiently correlated with our endogenous regressor. Table 3 reports the first stage estimates where the logged FDI is the endogenous regressor. The results from Table 3 suggest that our IV measures are negatively correlated with FDI. A one-standard deviation increase in the Region Linguistic IV leads to a roughly 5.3 percent decrease in FDI. Increased FDI attractiveness of the surrounding region then draws FDI away from the host country by a significant degree. Our results indicate that our main IV is sufficiently correlated with all of our endogenous regressors and does not seem to suffer from the "weak identification" problem (Stock and Yogo, 2002; Stock et al., 2005). We also regress the residuals from the first stage on our linguistic IV and find that there is no correlation between the two variables (Table A.1). For robustness, we also test two additional IV constructions. These IVs use GDP and geographic distance as weights, and the results for these IVs are similar to our main IV in the first stage.

5.2. Political position vote shares

We now consider how vote shares for parties across the ideological spectrum respond to foreign direct investments. First, we present our baseline regression using an OLS specification. We report these regressions in Table 4. The columns of Table 4 present

[32] http://www.cepii.fr/cepii/en/bdd_modele/presentation.asp?id=6.

Table 5
FDI and vote shares– IV-2SLS.

	(1) Center	(2) Center Left	(3) Center Right	(4) Left Wing	(5) Right Wing	(6) Other
Log(Votes)	−0.858	−0.392	−2.383**	1.033	3.267***	−0.0638
	(0.542)	(0.529)	(0.873)	(0.713)	(0.585)	(0.145)
Vote Share	0.00468	0.0185	−0.0755***	0.0183*	0.0519***	−0.0179
	(0.0159)	(0.0129)	(0.0214)	(0.00855)	(0.0109)	(0.0318)

Note: $N = 886$. Each entry represents a separate regression where the outcome is the logged number of votes or share of total votes for a particular political position. The estimation uses the IV-2SLS method: see Eq. (5). The F-Statistic for excluded instrument is 40.38. Stars indicate significance with * p<0.10, ** p<0.05, ***p<0.01.

Table 6
FDI and vote shares, developing countries.

	(1) Center	(2) Center Left	(3) Center Right	(4) Left Wing	(5) Right Wing	(6) Other
Log(Votes)	−0.923*	−1.650**	−2.274***	1.214**	1.774**	−0.220
	(0.430)	(0.630)	(0.343)	(0.466)	(0.603)	(0.119)
Vote Share	0.00768	0.0232	−0.0541***	0.0143*	0.0257*	−0.0168
	(0.0137)	(0.0166)	(0.00871)	(0.00595)	(0.0107)	(0.0298)

Note: $N = 658$. Each entry represents a separate regression where the outcome is the logged number of votes or share of total votes for a particular political position. The estimation uses the IV-2SLS method: see Eq. (5). The F-Statistic for excluded instrument is 149.4. Stars indicate significance with * p<0.10, ** p<0.05, ***p<0.01.

Table 7
FDI and vote shares, presidential elections.

	(1) Center	(2) Center Left	(3) Center Right	(4) Left Wing	(5) Right Wing	(6) Other
Log(Votes)	−1.236	1.467	−2.380	1.488*	4.332***	0.341
	(0.985)	(1.529)	(1.344)	(0.584)	(1.282)	(0.411)
Vote Share	−0.0420	0.0471	−0.0707	0.00397	0.0691*	−0.00743
	(0.0285)	(0.0462)	(0.0422)	(0.00935)	(0.0380)	(0.116)

Note: $N = 361$. Each entry represents a separate regression where the outcome is the logged number of votes or share of total votes for a particular political position. Votes are restricted to presidential elections. The estimation uses the IV-2SLS method: see Eq. (5). The F-Statistic for excluded instrument is 51.35. Stars indicate significance with * p<0.10, ** p<0.05, ***p<0.01.

Table 8
FDI and vote shares, legislative elections.

	(1) Center	(2) Center Left	(3) Center Right	(4) Left Wing	(5) Right Wing	(6) Other
Log(Votes)	0.234	0.323	0.0380	1.501***	4.444***	−0.439*
	(0.447)	(0.434)	(0.464)	(0.371)	(0.682)	(0.183)
Vote Share	−0.0206	−0.000569	0.0158	0.0195***	0.0910***	−0.105***
	(0.0166)	(0.0170)	(0.0110)	(0.00454)	(0.0113)	(0.0320)

Note: $N = 525$. Each entry represents a separate regression where the outcome is the logged number of votes or share of total votes for a particular political position. Votes are restricted to legislative elections. The estimation uses the IV-2SLS method: see Eq. (5). The F-Statistic for excluded instrument is 32.04. Stars indicate significance with * p<0.10, ** p<0.05, ***p<0.01.

the results for each respective political position. The coefficients report the elasticity of a one percentage increase in FDI on the logged number of votes and vote shares. As expected from the logic of Hypothesis 1, the result for Right Wing is positive and statistically significant when the dependent variable is both the logged number of votes for right-wing parties and the vote shares for right-wing parties. As expected, the result for the Center regression using center party vote shares as a dependent variable is negative. This result is only weakly statistically significant. We are hesitant to draw any conclusions from Table 4 due to the possible endogeneity issue between FDI and vote shares. Instead, we turn to our main specification to test our Hypotheses.

Table 5 presents our main specification results for our IV regressions. The results are consistent for both dependent variables. In addition to consistent statistically significance results, the F-Statistics for excluded instruments is 40.38. Thus, our IV does not seem to suffer from the "weak identification" problem (Stock et al., 2002). Supporting Hypothesis 1, the result for Right Wing is positive and statistically significant. Right-wing parties gain support as FDI increases. Specifically, a one-percent increase in FDI results in about a 3.3% increase in the number of right-wing votes; this is about 100,000 votes of the average in our sample across all 149 countries. Likewise, a one-percent increase in FDI results in a gain of nearly 5.2% of the right-wing vote share. Given the closeness

of many elections, this effect is economically significant. Increasing FDI has the possibility to tip a marginally close election towards the right-wing party.

The coefficient in the Center Right regressions is negative and statistically significant. While we expected center parties to lose vote share as FDI increases, our results indicate that parties near the center that skew right lose vote shares as FDI increases. A one-percent increase in FDI results in about a 2.4% decrease in the number of center-right votes; this is about 40,660 votes of the average across all countries in our sample. A one-percent increase in FDI causes at most a loss of 7.5% of the total vote share. Although increased FDI greatly shrinks the political influence of center-right parties, the results suggest that the loss from center-right parties does not fully explain the gain in supporters seen by right-wing parties.

Finally, the coefficient in the Left Wing vote share regression is positive and statistically significant at the 10% level. Hypothesis 2 suggests that left-wing parties should gain votes at a lower rate than right-wing parties. These results are not robust enough to present evidence for Hypothesis 2; however, the results do warrant further investigation. The results suggest that a one-percent increase in FDI increases vote shares by 1.8% or 1,854 votes of the average across all countries in the sample. Comparatively, the effect on left-wing parties is small. Both center-right and right-wing parties see more statistically significant changes as a result of changing FDI.

Our results tell a clear story of increased FDI shifting towards the right end of the political spectrum. The results from our center-right regressions also imply that voters who were already leaning towards the right were pushed further rightwards. Due to a lack of precision in our model, we have no information about center and center-left.[33] Overall, the results of Table 5 provide strong support for Hypothesis 1.

We also consider whether our results are consistent for developing countries.[34] Table 6 reports these results. The F-Statistics is very large at 149.4. Interestingly, we see that the left-wing result is more pronounced. A one-percent increase in FDI leads to a 1.2% increase in the number of left-wing and a 1.8% increase in right-wing votes. Likewise, a one-percent increase in FDI leads to 1.4% increase in the left-wing vote share and a 2.6% increase in the right wing vote share. The effects of increased FDI are large enough to suggest an increasing political polarization in developing countries. The effect of FDI on the vote shares of right-wing parties is larger than the effect on left-wing parties. These results provide support for both Hypotheses 1 and 2.

There is further evidence of a polarization of political beliefs when we look at moderate parties near the center of the spectrum. We still see a decrease in the number of center-right votes. A one-percent increase in FDI results in a 2.3% decrease in votes for center-right parties and a 5.4% decrease in vote shares for those parties. There is some evidence of a decrease in center-left votes as well. A one-percent increase in FDI causes roughly a 1.7% decrease in votes for center-left parties. There is also weak evidence that center parties see decreases in votes as FDI increases. A one-percent increase in FDI results in a 0.9% decrease in center party votes. While this effect is rather small, the results in Table 6 show a clear hollowing out of the center of the political spectrum as a response to increased foreign investment.

In line with our predictions, our results suggest that incoming FDI has a more pronounced polarizing effect for developing countries than developed countries. Both hypotheses have support when restricting the analysis to developing countries. Note that the point estimates of the results for Right Wing are significantly smaller than that of our baseline specification, Table 5. Thus, this provides suggestive evidence that the developed countries see larger increases in right-wing votes than developing countries with similar increases in FDI. A possibility is that right-wing parties in developed countries are more positioned to capture votes on increasing anti-immigrant sentiments from those who have experienced the negative effects of FDI. Thus, Hypothesis 1 holds more often in developed countries. Likewise, Hypothesis 2 theorizes that left-wing parties gain vote shares due to disadvantaged voters seeking more beneficial social policies. The lack of preexisting social safety nets in developing countries equates to more disadvantaged people in need of stronger government support.

While we have combined both presidential elections and lower house legislative elections in the previous regressions, we consider any heterogeneous effects across levels of government by separating presidential and legislative elections. Table 7 presents the results when restricting our voting outcomes to presidential elections. We still see evidence of the right-wing outcome: a one-percent increase in FDI leads to a 4% increase in the number of right-wing votes. The left-wing regression also displays statistically significant at the 10% level; however, both coefficients on the vote share regressions are imprecisely measured. Similarly, we find no evidence of an effect for center-right parties. The lack of statistically significant results may be related to the sample size dropping to 361 observations due to the relative rarity of presidential elections when compared to legislative elections. Given the low number of observations, these results should be interpreted with caution.

In Table 8, we restrict our main specification to only legislative elections. Interestingly, the left-wing result is now statistically significant. A one-percent increase in FDI results in a 1.5% increase in left-wing votes. This increase in votes translates to an increase in about 2% of the vote share for left-wing parties. The right-wing result for legislative election is also statistically significant and much more pronounced than our baseline estimates. A one-percent increase in FDI results in a 4.4% increase in the number of right-wing votes and a 9% gain in vote share. Our results indicate that FDI has largely benefited right leaning parties within a host

[33] The lack of statistical significance for center parties may be explained by the amount of center parties in the data. While center parties exist frequently in our data, they exist less frequently than every other party type. In our 886 unique country-year observations, there are 291 observations that have 1 or more center parties. For comparison, the next lowest political position represented in our data is right-wing parties with 450 observations having 1 or more party right-wing party.

[34] We do not present results for developed countries as we are concerned about power (due to the small number of observations) and a significantly smaller F-statistic. We attribute the smaller F-statistic to the small sample for developed countries.

country. Right-wing politicians are able to gain political capital for specific FDI projects within their district.[35] We are unable to present any results on more center leaning parties; however, the positive results on the extremes of the political spectrum suggest a polarizing effect of FDI. In addition, we find some evidence that, for legislative election, there is support for left-wing parties in the presence of FDI.

5.3. Sensitivity, robustness, and alternative specifications

We now consider a series of robustness checks to test the stability of our results. These robustness checks are reported in Appendix A. First, we consider a number of control variables. We consider socioeconomic variables that may affect vote shares or political support. We include GDP per capita, education, and unemployment to control for common economic conditions that can affect voting preferences (Arnorsson and Zoega, 2018). We also control for inflation and GDP growth to account for other macroeconomic fluctuations (Palmer and Whitten, 1999). Voters might react to these fluctuations by voting for parties that promise a tighter control on the economy via less trade openness. We also consider the demographic variables fertility rate and life expectancy to account for the general health of the population. Populations with worse health outcomes may be more likely to vote for left-wing parties promising increased social programs. Lastly, we consider the number of cell phone subscriptions as access to cell phones has been shown to affect elections (Gonzalez, 2021). We interpret these results with caution given that FDI may be co-determined and influences the control variables of interests. Nonetheless, Table A.2 reports the results by including one control at a time, and then Table A.3 includes all control variables. Overall, our right-wing findings are the same; although, when all controls are included, the center-right result is now statistically insignificant. However, the left-wing result is now precisely estimated where we find an increase in the number of votes.

We also consider the heterogeneous effects of FDI across many of the mentioned control variables. Fig. A.1 plots the point estimates from our main specification after imposing different restrictions. In row 2 of Fig. A.1, we find that the right-wing estimate is positive and precisely estimated for countries where the number of parties is above the median number of parties. We find a similar result for left-wing support. We also find similar effects for left-wing and right-wing votes when restricting the sample to above and below the median unemployment rate and population density, respectively (rows 3–7 of Fig. A.1). The Center Right number of votes seems to decrease in less dense countries (row 6) and increase in countries with a higher population density (row 7). In rows 8 and 9, we stratify by the percent enrolled in primary school. Interestingly, the Right Wing result seems to be driven by countries where the percent enrolled in primary school is below the median. To complement this result, we see that the decrease in center-right support is also driven by countries where the percent enrolled in primary school is below the median. There is a similar pattern for life expectancy. Country-years with a below-median life expectancy (row 11) experience an increase in right-wing votes and a decrease in center-right votes. Small economic effects from FDI may have larger relative impacts on the voting population in these countries. Lastly, our IV is constructed using data from countries within a region; we examine our results' sensitivity when excluding countries in a region with fewer than five countries (row 12). We find that this specification does not change our main results.

Fig. A.2 examines whether our findings are sensitive to a region of the world. Each row of Fig. A.2 excludes a region of the world and re-estimates our primary model.[36] Overall, we find similar effects in sign and magnitude. It may also be that some countries and regions may face conflict or war. When data were available, we linked countries in our data with the Correlates of War Project's Militarized Interstate Dispute (MID) dataset. We then ran our main specification after controlling for whether the country experienced war during our sample period, whether there was force used against a country, and whether there was a threat made against a country in a given year. Our initial results are robust to the inclusion of these controls (available upon request). We also considered whether FDI affected measures of political stability reported by the World Bank, and do not find strong effects when examining this outcome.[37]

There may also be a concern surrounding European countries transitioning into the EU and subsequently changing their currency. We test the sensitivity of our results to this change by excluding the years (1997–2001). We present these results in Table A.6 and find that our results are similar to our main findings. More generally, one may expect a significant impact of the financial crises on voting outcomes. Panel A of Table A.7 restricts the sample to years before 2008, and Panel B excludes the years 2008–2010. In each case, we find that our results are similar to our baseline estimates.

We also consider that there may be additional concerns of reverse causality and thus run our main specification with a lead of FDI (rather than a lag). These findings are presented in Table A.4, and the results indicate little to no effects. We see a marginally statistically significant effect on right-wing vote shares, but the result is counter to our main result. Thus, we are confident that our dependent variables are not influencing our independent variables in our previous sets of regressions. Additionally, our main

[35] This result is similar to the findings of Owen (2019). The author finds that mayors are more likely to retain their office if they have previously announced a new FDI project.

[36] To conserve space we combine some of the regions.

[37] We collected an index of political stability from the World Bank's Worldwide Governance Indicators. It captures perceptions of the likelihood of political instability and ranges from −2.5 to 2.5. However, there are many missing data values, and thus we do not focus on this outcome. Results from this analysis are available upon request.

specification lags FDI by one year, but it is of interest to determine whether the FDI effects persist beyond one year. Fig. A.3 runs our main specification with different lags of FDI ranging from 1 to 5 years. We see a positive effect for right-wing votes up to three years before an election. However, the $t-3$ lag is not as precisely estimated. We see a similar pattern for left-wing votes and center-right votes. However, these results should be interpreted with caution due to the lack of a standard amount of time between elections from country to country. We expect lobbying funds to be used in nearest election which could be in one year or in five years. Furthermore, voters may find it difficult to attribute a delayed economic effect as the time period between the cause and effect widens.

As discussed earlier, we also consider reconstructing our IV using a region's GDP or average distance to OECD countries rather than linguistic distance to weigh the region's exchange rates. Specifically, alternate IVs were constructed using GDP per capita as weights for each OECD country and the inverse distance to capital cities as weights. The results are robust to using both of these IVs and presented in Tables A.8 and A.9.[38] We also consider replacing a region's average exchange rate in Eq. (3) with a region's GDP (and then weighted by linguistic distance). These results are presented in Table A.12 and are similar to our baseline estimates. Although the IV is slightly weaker, the F-statistic is still above the conventional level of 10.

Lastly, while our main specification is weighted by population, we present unweighted estimates in Table A.5. Our results are similar to our baseline estimates.

6. Conclusion

This paper examines the effect of FDI on support for political parties in 149 countries. We use a novel IV that exploits differences in language as well as exchange rates. Our results suggest that FDI increases right-wing vote shares and decreases support for center-right parties. We find that a one-percent increase in FDI results in about a 2.4% decrease in the number of center-right votes and about a 3.3% increase in right-wing votes. We also find some evidence of left-wing support in developing countries. Taken together, our results suggest that countries become more politically polarized as FDI increases in the country. This polarization effect is pronounced in legislative elections and especially evident in developing countries. Although in a different context, our results compare to those from Autor et al. (2020) and Dippel et al. (2015) who find that import competition increases polarization support for right-wing parties. Although we cannot pinpoint a mechanism (e.g., employment), our results suggest that opening up to multinational activity and investment also increases right-wing support and leads to polarization.

Our study has many implications on the policy outcomes of foreign direct investment. The political polarization from increased FDI can cause destabilization to both developing and developed countries. Partisan conflict has been shown to decrease FDI inflows (Azzimonti, 2019). Immediate increased FDI may hinder development due to decreased future FDI. Policy that attracts FDI might also change the political composition of a government. While increased FDI that tips governments to the left can cause increased public expenditures, increased FDI that secures power for right-wing parties can causes deregulation that may incentive more FDI despite the increased riskiness associated with the political instability. Political parties can benefit greatly from bringing FDI into their country; however, the changing economic conditions may result in a transfer of power. In showing a link between FDI and political parties, we also draw attention to a growing need to treat trade policy and IPR-protection reform as endogenous to foreign multinational activity.

Our paper also introduces a novel IV into this literature on the effects of FDI. We use economic variables from the surrounding region weighted by the linguistic distance to OECD countries to capture the exogenous variation of FDI. This IV improves upon what has been used in the literature by allowing for time variation and thus the inclusion of country and year fixed effects. Future research should consider using this IV to study the effect of FDI on health outcomes, criminal activity, and other outcomes in the political realm. For example, as recent research has been done on the effect of institutional quality on FDI (Akhtaruzzaman et al., 2017; Dzhumashev and Hailemariam, 2021), future research can use our IV method to further explore this connection.

Declaration of competing interest

The authors declare that they have no known competing financial interests or personal relationships that could have appeared to influence the work reported in this paper.

[38] We also tested an IV using the average region exchange rate and no weights at all. The results, presented in Table A.11, were similar to the one's presented in this paper.

Appendix A

See Tables A.1–A.12 and Figs. A.1–A.3.

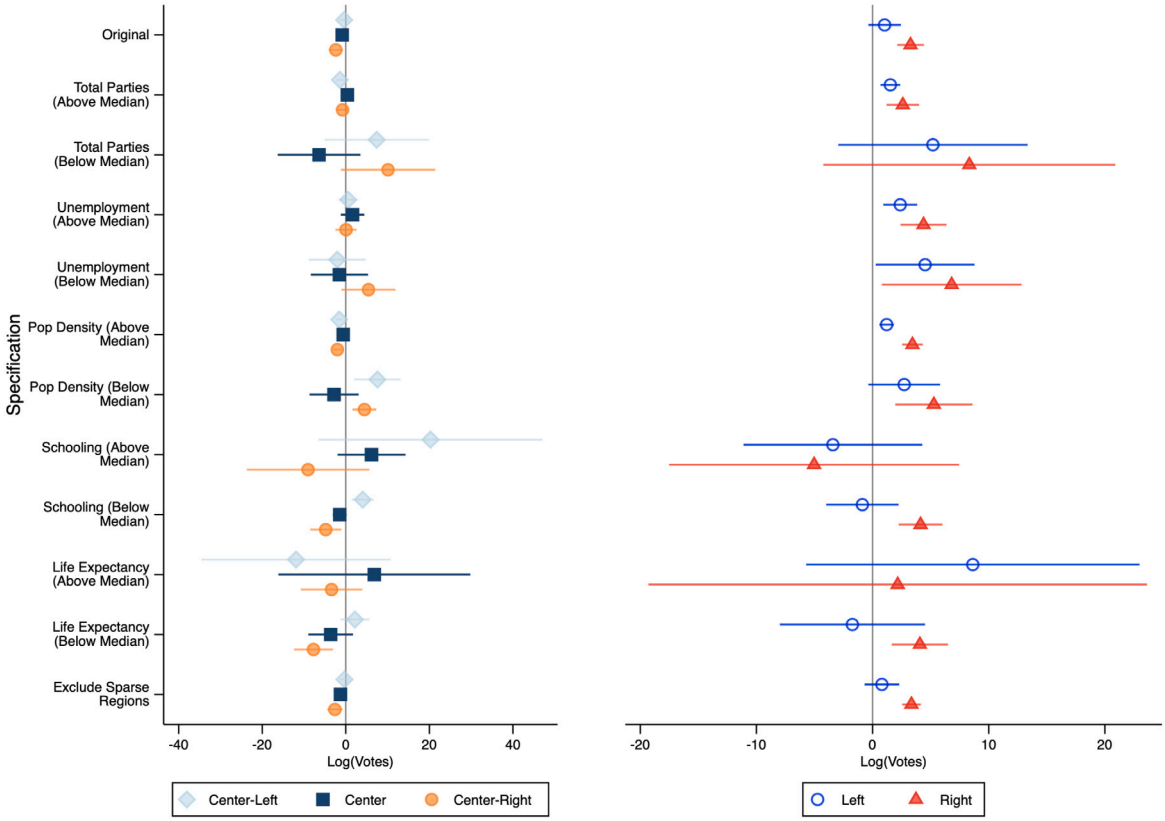

Fig. A.1. Alternate Specifications. *Notes:* This figure plots the point estimates of the logged FDI measure from Eq. (5) for each political position. Each row imposes a different restriction (or specification).

Table A.1
Correlation between residuals and IV.

	(1) Center	(2) Center Left	(3) Center Right	(4) Left Wing	(5) Right Wing	(6) Other
Residuals	0.992	0.903	3.716	−2.737	−3.430	−1.615
	(1.041)	(1.054)	(3.829)	(1.965)	(2.604)	(1.974)

Note: $N = 886$. Each entry represents a separate regression where the outcome is the linguistic IV outlined in the text. Each regression includes residuals from the first stage Eq. (1). Stars indicate significance with * p<0.10, ** p<0.05, ***p<0.01.

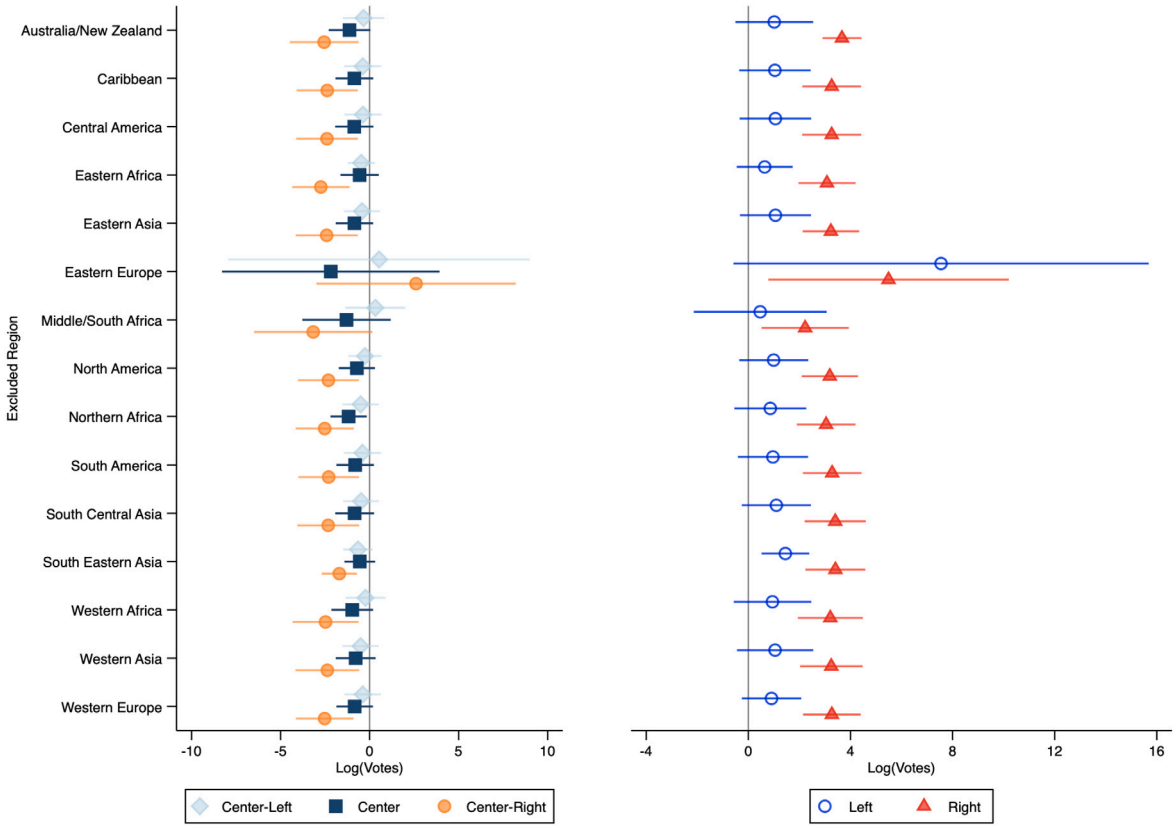

Fig. A.2. Excluding Regions. *Notes:* This figure plots the point estimates of the logged FDI measure from Eq. (5) for each political position. Each row excludes the indicated region(s).

Table A.2
FDI and vote shares, adding controls.

	(1) Center	(2) Center Left	(3) Center Right	(4) Left Wing	(5) Right Wing	(6) Other
Unemployment Rate	−0.211	−0.374	0.161	3.718**	4.562***	−0.242
	(1.118)	(1.553)	(1.228)	(1.434)	(0.920)	(0.392)
GDP per capita	−1.099*	−0.793	−2.024***	1.956**	3.757***	0.0768
	(0.458)	(0.446)	(0.475)	(0.696)	(0.745)	(0.185)
GDP Growth	−0.0428	−0.0502	0.393	4.453*	5.759***	−0.140
	(1.432)	(1.779)	(1.617)	(1.804)	(1.371)	(0.509)
Inflation	−0.761	−0.802	−0.235	5.069**	4.747***	−0.246
	(1.239)	(2.035)	(1.795)	(1.754)	(1.079)	(0.502)
School Enrollment	−0.696	1.046	−2.821*	1.154	3.051**	−0.450
	(0.689)	(1.086)	(1.175)	(1.176)	(1.072)	(0.235)
Population Density	−0.872	−0.400	−2.397**	1.017	3.251***	−0.0663
	(0.541)	(0.527)	(0.872)	(0.713)	(0.588)	(0.145)
Life Expectancy	−1.120	−0.610	−2.644**	1.218	3.450***	−0.0127
	(0.613)	(0.573)	(0.866)	(0.925)	(0.704)	(0.156)
Fertility Rate	−1.093*	−0.330	−2.497**	1.114	3.576***	−0.0636
	(0.548)	(0.549)	(0.895)	(0.808)	(0.759)	(0.159)
Cellular Subscriptions	−0.823	−0.376	−2.360*	1.020	3.262***	−0.0790
	(0.644)	(0.491)	(1.014)	(0.632)	(0.571)	(0.156)
Total Votes	−0.875	−0.405	−2.391**	1.020	3.245***	−0.0806
	(0.547)	(0.521)	(0.868)	(0.701)	(0.588)	(0.158)

Note: Each entry represents a separate regression where the outcome is the logged number of votes for a particular political position. The estimation uses the IV-2SLS method: see Eq. (5). Each regression uses Eq. (5) and adds a control variable reported in this table one at a time where the reported coefficient is always for logged FDI. The F-Statistic for excluded instrument ranges from 12.23 to 47.10. Stars indicate significance with * p<0.10, ** p<0.05, ***p<0.01.

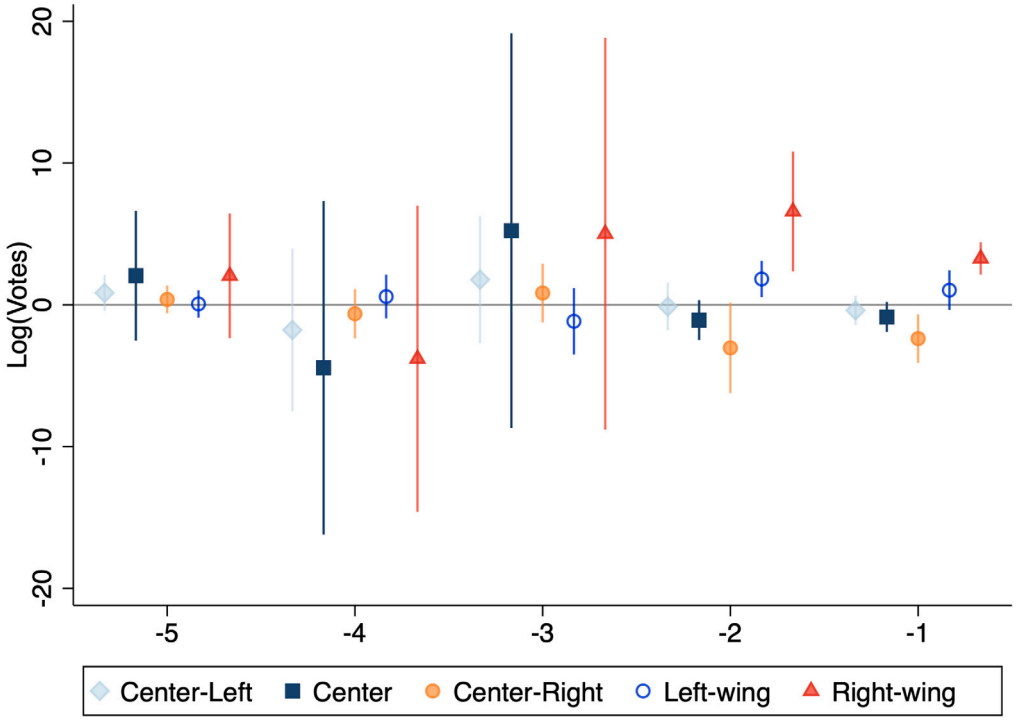

Fig. A.3. Lagged Effects of FDI. *Notes:* This figure plots the point estimates of the logged FDI measure from Eq. (5) but lags FDI by the indicated years (x-axis).

Table A.3
FDI and vote shares, all controls.

	(1) Center	(2) Center Left	(3) Center Right	(4) Left Wing	(5) Right Wing	(6) Other
Log(FDI)	−0.808	−0.111	−0.155	4.774**	4.838**	−0.893
	(1.258)	(1.720)	(1.435)	(2.187)	(1.567)	(0.556)
Unemployment Rate	−0.111	−0.00933	−0.102	0.105	0.422*	−0.0578
	(0.276)	(0.175)	(0.0986)	(0.258)	(0.203)	(0.0903)
GDP per capita	−0.000187	−0.000247**	0.000132	0.000244	0.0000230	0.0000370
	(0.000130)	(0.0000928)	(0.0000733)	(0.000167)	(0.000116)	(0.0000456)
GDP Growth	−0.304*	0.000649	−0.245*	−0.0358	−0.0953	−0.0276
	(0.153)	(0.135)	(0.116)	(0.155)	(0.126)	(0.0402)
Inflation	−0.0110	0.00152	−0.0109	0.0766	0.0484	−0.00741
	(0.0355)	(0.0403)	(0.0595)	(0.0524)	(0.0310)	(0.0104)
School Enrollment	0.0258	−0.00117	−0.0606	−0.179*	−0.139**	0.0186
	(0.0508)	(0.0475)	(0.0475)	(0.0755)	(0.0505)	(0.0217)
Population Density	0.00990	0.0209	−0.00449	−0.0780**	−0.00379	−0.000339
	(0.0325)	(0.0290)	(0.0187)	(0.0258)	(0.0265)	(0.0143)
Life Expectancy	−0.370	0.174	0.0395	−0.244	0.157	−0.0281
	(0.274)	(0.252)	(0.253)	(0.361)	(0.345)	(0.111)
Fertility Rate	−0.602	−0.891	0.958	3.828	5.508*	0.434
	(2.442)	(2.595)	(1.842)	(2.639)	(2.174)	(0.805)
Cellular Subscriptions	0.0138	−0.00485	−0.0140	−0.0751**	−0.0639*	−0.0128
	(0.0276)	(0.0305)	(0.0242)	(0.0287)	(0.0261)	(0.0132)
Total Votes	1.107***	1.061**	0.598**	1.357**	1.744***	0.933***
	(0.266)	(0.387)	(0.192)	(0.443)	(0.418)	(0.0879)

Note: $N = 720$. Each entry represents a separate regression where the outcome is the logged number of votes or share of total votes for a particular political position. The estimation uses the IV-2SLS method: see Eq. (5). Regressions control for logged number of total votes, GDP per capita, GDP growth rate, inflation, percent enrolled in primary school, population density, life expectancy, fertility rate, and the number of cellular phone subscribers (per 100) . The F-Statistic for excluded instrument is 12.79. Stars indicate significance with * p<0.10, ** p<0.05, ***p<0.01.

Table A.4
FDI and vote shares, *FDI (T+1)*

	(1) Center	(2) Center Left	(3) Center Right	(4) Left Wing	(5) Right Wing	(6) Other
Log(Votes)	−4.789*	−1.377	−0.671	0.141	−4.204**	1.146
	(2.149)	(1.296)	(1.128)	(1.194)	(1.927)	(0.740)
Vote Share	−0.0809	−0.242***	−0.0305	−0.00514	−0.101	0.460***
	(0.0460)	(0.0673)	(0.0265)	(0.0163)	(0.0661)	(0.131)

Note: $N = 879$. Each entry represents a separate regression where the outcome is the logged number of votes or share of total votes for a particular political position. The estimation uses the IV-2SLS from Eq. (5), where FDI_{it} is replaced with $FDI_{i(t+1)}$. The F-Statistic for excluded instrument is 23.72. Stars indicate significance with * p<0.10, ** p<0.05, ***p<0.01.

Table A.5
FDI and vote shares, unweighted.

	(1) Center	(2) Center Left	(3) Center Right	(4) Left Wing	(5) Right Wing	(6) Other
Log(Votes)	−0.517	−0.489	−2.070**	1.216	2.927***	0.0827
	(0.619)	(0.787)	(0.764)	(0.717)	(0.859)	(0.295)
Vote Share	0.00939	0.00239	−0.0661**	0.0201	0.0538***	−0.0196
	(0.0212)	(0.0216)	(0.0221)	(0.0115)	(0.0124)	(0.0310)

Note: $N = 886$. Each entry represents a separate regression where the outcome is the logged number of votes or share of total votes for a particular political position. The estimation uses the IV-2SLS method: see Eq. (5). Regressions are unweighted. The F-Statistic for excluded instrument is 45.74. Stars indicate significance with * p<0.10, ** p<0.05, ***p<0.01.

Table A.6
FDI and vote shares, exclude EU transition.

	(1) Center	(2) Center Left	(3) Center Right	(4) Left Wing	(5) Right Wing	(6) Other
Log(Votes)	−0.832	−0.964*	−2.748**	0.836	3.420***	−0.0794
	(0.602)	(0.476)	(0.921)	(0.705)	(0.555)	(0.143)
Vote Share	0.0215	−0.00312	−0.0871***	0.0166	0.0581***	−0.00595
	(0.0166)	(0.0104)	(0.0231)	(0.00894)	(0.0110)	(0.0313)

Note: $N = 741$. Each entry represents a separate regression where the outcome is the logged number of votes or share of total votes for a particular political position. Regressions exclude the years 1998–2002. The estimation uses the IV-2SLS method: see Eq. (5). The F-Statistic for excluded instrument is 35.83. Stars indicate significance with * p<0.10, ** p<0.05, ***p<0.01.

Table A.7
FDI and vote shares, excluding great recession.

	(1) Center	(2) Center Left	(3) Center Right	(4) Left Wing	(5) Right Wing	(6) Other
			A. Pre-2008			
Log(Votes)	−0.655	0.343	−1.761***	1.566*	4.418**	0.117
	(0.450)	(0.590)	(0.443)	(0.667)	(1.371)	(0.205)
Vote Share	−0.00000926	0.0381*	−0.0812***	0.0341**	0.0517***	−0.0427
	(0.0151)	(0.0172)	(0.0189)	(0.0115)	(0.0102)	(0.0281)
			B. Exclude 2008–2010			
Log(Votes)	−1.231	−0.482	−2.294**	0.976	3.089***	0.0585
	(0.815)	(0.643)	(0.792)	(0.708)	(0.709)	(0.182)
Vote Share	−0.0106	0.0262	−0.0820***	0.0248***	0.0504***	−0.00877
	(0.0242)	(0.0168)	(0.0226)	(0.00751)	(0.0115)	(0.0419)

Note: Each entry represents a separate regression where the outcome is the logged number of votes or share of total votes for a particular political position. The estimation uses the IV-2SLS method: see Eq. (5). Panel A excludes years post-2007 ($N = 445$) and Panel B excludes the years 2008–2010 ($N = 750$). The F-Statistic for excluded is 64.78 and 53.13 for Panels A and B, respectively. Stars indicate significance with * p<0.10, ** p<0.05, ***p<0.01.

Table A.8
FDI and vote shares, GDP weighted IV.

	(1) Center	(2) Center Left	(3) Center Right	(4) Left Wing	(5) Right Wing	(6) Other
Log(Votes)	−0.926	−0.384	−2.465**	0.946	3.211***	−0.0689
	(0.524)	(0.509)	(0.848)	(0.704)	(0.569)	(0.141)
Vote Share	0.00357	0.0175	−0.0776***	0.0170*	0.0508***	−0.0113
	(0.0157)	(0.0119)	(0.0203)	(0.00858)	(0.0101)	(0.0291)

Note: $N = 886$. Each entry represents a separate regression where the outcome is the logged number of votes or share of total votes for a particular political position. The estimation uses the IV-2SLS method (see Eq. (5)) where the IV is the average region exchange rate weighted by the GDP of each OECD country. The F-Statistic for excluded instrument is 39.68. Stars indicate significance with * p<0.10, ** p<0.05, ***p<0.01.

Table A.9
FDI and vote shares, geographic distance IV.

	(1) Center	(2) Center Left	(3) Center Right	(4) Left Wing	(5) Right Wing	(6) Other
Log(Votes)	−1.000	−0.321	−2.266*	1.097	3.315***	−0.0451
	(0.600)	(0.646)	(0.950)	(0.819)	(0.632)	(0.171)
Vote Share	−0.000130	0.0208	−0.0704**	0.0171*	0.0517***	−0.0190
	(0.0175)	(0.0153)	(0.0256)	(0.00863)	(0.0119)	(0.0360)

Note: $N = 894$. Each entry represents a separate regression where the outcome is the logged number of votes or share of total votes for a particular political position. The estimation uses the IV-2SLS method (see Eq. (5)) where the IV is the average region exchange rate weighted by geographic distance to OECD countries. The F-Statistic for excluded instrument is 36.29. Stars indicate significance with * p<0.10, ** p<0.05, ***p<0.01.

Table A.10
FDI and vote shares– IV-2SLS-including host country.

	(1) Center	(2) Center Left	(3) Center Right	(4) Left Wing	(5) Right Wing	(6) Other
Log(Votes)	−0.586	−0.39	−2.433**	0.747	3.390***	−0.0602
	(0.612)	(0.532)	(0.926)	(0.65)	(0.604)	(0.148)
Vote Share	0.00787	0.0187	−0.0766***	0.0172*	0.0532***	−0.0204
	(0.0167)	(0.0124)	(0.0226)	(0.00857)	(0.0115)	(0.0338)

Note: $N = 886$. Each entry represents a separate regression where the outcome is the logged number of votes or share of total votes for a particular political position. The estimation uses the IV-2SLS method (see Eq. (5)) where the IV is the average region exchange rate including the host country weighted by the linguistic distance to OECD countries. The F-Statistic for excluded instrument is 38.86. Stars indicate significance with * p<0.10, ** p<0.05, ***p<0.01.

Table A.11
FDI and vote shares—IV-region exchange rate only.

	(1) Center	(2) Center Left	(3) Center Right	(4) Left Wing	(5) Right Wing	(6) Other
Log(Votes)	−0.917	−0.354	−2.398**	0.961	3.283***	−0.0556
	(0.549)	(0.529)	(0.874)	(0.718)	(0.604)	(0.148)
Vote Share	0.00323	0.0181	−0.0751***	0.0167*	0.0524***	−0.0152
	(0.0162)	(0.0126)	(0.0215)	(0.00859)	(0.0115)	(0.0312)

Note: $N = 943$. Each entry represents a separate regression where the outcome is the logged number of votes or share of total votes for a particular political position. The estimation uses the IV-2SLS method (see Eq. (5)) where the IV is the unweighted average region exchange rates. The F-Statistic for excluded instrument is 37.95. Stars indicate significance with * p<0.10, ** p<0.05, ***p<0.01.

Table A.12
FDI and vote shares– IV-region GDP.

	(1) Center	(2) Center Left	(3) Center Right	(4) Left Wing	(5) Right Wing	(6) Other
Log(Votes)	−1.080	−0.505	−2.319**	0.903	3.228***	0.0616
	(0.570)	(0.477)	(0.886)	(0.649)	(0.607)	(0.168)
Vote Share	−0.00226	0.00790	−0.0768***	0.0193*	0.0504***	0.00146
	(0.0181)	(0.0127)	(0.0215)	(0.00865)	(0.0113)	(0.0258)

Note: $N = 886$. Each entry represents a separate regression where the outcome is the logged number of votes or share of total votes for a particular political position. The estimation uses the IV-2SLS method (see Eq. (5)) where the IV is the average region GDP weighted by the linguistic distance. The F-Statistic for excluded instrument is 21.66. Stars indicate significance with * p<0.10, ** p<0.05, ***p<0.01.

Appendix B

The Voting data comes from PsephosAdamCarr'sNationalElectionArchive. RAs collected elections data from each country and year individually. This data included the name of the political parties in each election, the number of votes for each party, and occasionally the voter turnout. We use various sources to assign each political party a spot on the political spectrum (e.g., right-wing). We mainly rely on either the ComparativePoliticalDataSet(CPDS)[39] or Wikipedia searches of their listofrulingpoliticalpartiesbycountry (henceforth, WikiList). However, when the party is not listed in either of these sources, we googled the party and read descriptions (translated if needed) on the party, country, or specific Wikipedia site.

If using the WikiList, once we found the political party page, there should be an ideology and political position listed on the page. For instance, suppose we are interested in the Republican Party of Albania. We would go to the WikiList and click on the RepublicanPartyofAlbania(PR). The political position would then be listed in a panel on the website's right-hand side. Fig. B1 presents an image directly from the website.

RAs would then fill this information into the columns. In instances where there was more than one political position listed, we went with the primary one. For example, the SocialistPartyofAlabania is listed as first a center-left party and then a left-wing party. In our dataset, we would assign this party as being center-left. For a given election, it is also common for multiple parties to have the same political position. All country-parties of a specific political position are aggregated for that country-year. If a country has two right-wing parties, the votes for those parties are combined into a variable that tells us the number of right-wing votes in a particular country in a given year. In this study, we are more concerned with voters moving along the political spectrum than moving towards a specific party.

Some political parties did not have clear political positions listed. We dealt with this issue in several ways. First, we used the CPDS codebook to categorize political parties into the Left-Right spectrum based on their ideology. For example, the CPDS would label a green party as a left-wing party. Thus, in our data set, green parties were labeled as left-wing parties unless there were any conflicting factors. Rare cases involved political parties with numerous ideologies attributed to them and no clear position on the political spectrum. In these cases, we used our judgment and went along the lines of fiscal ideology taking preference over social ideology. For example, Peru's UnionforPeru is far-left on economic issues and far-right on social issues; thus, they would be assigned to the left-wing political position. If we could not determine a proper place on the political spectrum, we listed the political party as "Other".

We list the election years for each country in our sample period in Table B.1. Fig. B2 plots elections (per country) over time for each region. To conserve space, we combine some of the regions. Most regions have around 5 elections per ten countries over the time of the sample.

[39] The CPDS cites Lane et al. (1997) as a main source in identifying party ideologies and positions.

Table B.1
List of election years per country.

Albania	2001,2005,2009,2013,2017	Lesotho	2002,2007,2012,2015,2017
Algeria	1997,1999,2002,2004,2007,2009,2012, 2014,2017	Liberia	1997,2005,2011,2012,2017
Andorra	2005,2009,2011,2015	Liechtenstein	2001,2005,2009,2013,2017
Angola	1992,2008,2012	Lithuania	1997,1998,2002,2003,2004, 2008,2009,2012,2014,2016
Antigua And Barbuda	1999,2004,2009,2014	Luxembourg	2009,2013
Argentina	1999,2003,2005,2007,2011,2013,2015	Macau(Aomen)	2005,2009
Armenia	1998,2003,2007,2008,2012,2013,2017	Madagascar	2001,2002,2006,2013
Australia	1990,1993,1996,1998,2001,2004,2007, 2010,2013,2016	Malawi	1994,1998,2004,2009,2014
Austria	1990,1994,1995,1998,1999,2002,2004, 2006,2008,2010,2013,2016,2017	Malaysia	2008,2013
Azerbaijan	1998,2000,2003,2008,2010,2013	Maldives	2005,2008,2009,2013,2014
Bahamas, The	2002,2007,2012,2017	Mali	2002,2007,2013
Bangladesh	2001,2008,2014,	Malta	1998,2003,2008,2009, 2013,2017
Barbados	1999,2003,2008,2013	Mauritania	1997,2003,2007,2009,2013,2014,
Belarus	2001,2006,2010,2015,2016	Mauritius	2005,2010
Belgium	1995,1999,2003,2007,2009,2010,2014	Mexico	2006,2009,2012
Belize	1998,2003,2008,2012,2015	Moldova	1996,1998,2001,2005, 2009,2010,2014,2016
Benin	2001,2003,2006,2011,2016	Monaco	1998,2003,2008,2013
Bhutan	2008,2013	Mongolia	2001,2005,2009,2012,2013, 2016,2017
Bolivia	1997,2002,2005,2009,2014	Montenegro	2001,2002,2003,2006, 2008,2009,2012,2013,2016
Bosnia And Herzegovina	1998,2002,2006,2010,2014	Morocco	2002,2007,2011,2016
Botswana	1999,2004,2009,2014	Mozambique	1999,2004,2009,2014
Brazil	1998,2002,2006,2010,2014	Myanmar	1990,2010,2015
Bulgaria	1996,2001,2005,2006,2009,2011, 2013,2014,2016,2017	Namibia	1999,2004,2009,2014
Burkina Faso	1998,2001,2002,2005,2007, 2010,2012,2015	Nepal	1991,1994,1999,2008, 2013,2017
Burundi	1993,2005,2010,2015	Netherlands	1998,2002,2003,2006,2009, 2010,2012,2017
Cabo Verde	2001,2006,2011,2016	New Zealand	1999,2002,2005,2008, 2011,2014,2017
Cambodia	1998,2003,2008,2013	Nicaragua	1996,1999,2001,2006, 2011,2016
Cameroon	1992,1997,2004,2011	Niger	1999,2004,2011,2016
Canada	2004,2006,2008,2011,2015	Nigeria	1999,2003,2007,2011,2015
Central African Republic	1993,1999,2005,2011,2015,2016	North Macedonia	1998,2000,2002,2004,2006, 2008,2009,2011,2014,2016
Chad	1996,2001,2006,2011	Northern Cyprus	2000,2003,2004,2005,2009, 2010,2013
Chile	2001,2005,2006,2009,2010,2013,2017	Norway	2001,2005,2009
China	2001,2004,2008,2010,2016	Pakistan	2002,2008,2013
Colombia	2002,2006,2010,2014,2016	Palestine	1996,2005
Comoros	2002,2006,2009,2010,2015,2016	Panama	2004,2009,2014
Congo, Dem. Rep.	1998,2002,2006,2009,2010, 2011,2014,2016	Papua New Guinea	1997,2007
Costa Rica	1998,2002,2006,	Paraguay	1997,1998,2003,2008,2013
Cote D'Ivoire	1990,1995,2000,2010,2011,2015,2016	Peru	2000,2001,2006,2011,2016
Croatia	2000,2003,2005,2007,2008,2009,2010, 2011,2014,2015,2016	Philippines	1992,1995,1998,2010
Cyprus	1998,2003,2006,2008,2011,2013, 2016,2017	Philippines	1998,2010,2016

(*continued on next page*)

Table B.1 (*continued*).

Cyprus, Northern	2000,2003,2004,2005,2009,2010,2013
Czech Republic	2002,2006,2010,2013,2017
Denmark	2001,2005,2007,2011,2015
Djibouti	1999,2003,2011,2013,2016
Dominica	2000,2002,2004,2005,2006,2008,2009, 2010,2012,2016
East Timor	2001,2002,2007,2012,2017
Ecuador	1998,2002,2006,2009,2013,2017
Egypt, Arab Rep.	2005,2011,2012,2014
El Salvador	1999,2000,2003,2004,2006,2009, 2012,2014,2015
Equatorial Guinea	2004,2009,2016
Estonia	1999,2003,2005,2007,2011,2015
Ethiopia	2005
European Union	2009
Fiji	2014
Finland	1999,2000,2003,2006,2007,2011, 2012,2015
France	1993,1995,1997,2002,2007,2009, 2012,2017
Gabon	1998,2005,2009,2011,2016
Gambia, The	1997,2001,2006,2007,2011,2012, 2016,2017
Georgia	1999,2000,2003,2004,2008,2012, 2013,2016
Germany	1990,2002,2005,2009,2013,2017
Ghana	1996,2000,2004,2008,2012,2016
Greece	1996,2000,2004,2007,2009, 2012,2015
Grenada	1999,2003,2008,2013
Guatemala	1999,2003,2007,2011,2015
Guinea	1998,2002,2003,2010,2013,2015
Guinea-Bissau	2004,2005,2008,2009,2012,2014
Guyana	1997,2001,2006,2011,2015
Haiti	2000,2006,2010,2011,2015,2016
Honduras	1997,2001,2005,2009,2013,2017
Hong Kong Sar, China	2004,2008,2012
Hungary	1998,2002,2006,2010,2014
Iceland	1996,1999,2003,2004,2007,2009, 2012,2013,2016,2017
India	1999,2004,2009,2014
Indonesia	2004,2009,2014,
Iran, Islamic Rep.	2001,2005,2009,2013,2017
Iraq	2005,2010,2014,
Poland	1990,1991,1993,1995,1997,2000, 2001,2005,2007,2010,2011,2015
Portugal	1996,1999,2001,2002,2005, 2006,2009,2011,2015,2016
Romania	1990,1992,1996,2000,2004, 2008,2009,2012,2014,2016
Russian Federation	2000,2003,2004,2007,2008, 2011,2012,2016
Rwanda	2003,2008,2010,2017
Saint Kitts And Nevis	1995,2000,2004,2010,2015
Saint Lucia	1997,2001,2006,2011
Samoa	2016
San Marino	1998,2001,2006,2008,2012,2016
Sao Tome And Principe	2001,2006,2010,2011,2014,2016
Senegal	2000,2001,2007,2012,2017
Serbia	2002,2003,2004,2007,2008,2012, 2014,2016,2017
Seychelles	2001,2002,2006,2007,2011, 2015,2016
Sierra Leone	2002,2007,2012
Singapore	1997,2001,2006,2011,2015
Slovak Republic	1998,1999,2002,2004,2006,2009, 2010,2012,2014,2016
Slovenia	2000,2002,2004,2007,2008,2011, 2012,2014,2017
Solomon Islands	2006,2010
South Africa	1994,1999,2004,2009,2014
Spain	1996,2011,2015,2016
Sri Lanka	1999,2000,2001,2004,2005, 2010,2015
St. Vincent And The Grenadines	2001,2005,2010,2015
Sudan	2010,2015
Suriname	2000,2005,2010
Sweden	1998,2002,2006,2010,2014
Switzerland	2003
Taiwan	2001,2004,2008,2012,2016
Tajikistan	2006,2013
Tanzania	1995,2000,2005,2010,2015
Thailand	2001,2005,2006,2007,2011
Togo	1998,2003,2005,2007,2013,2015
Tonga	2005,2010,2014
Trinidad And Tobago	2000,2001,2002,2007,2010,2015
Tunisia	2004,2009,2011,2014
Turkey	1995,1999,2002,2007,2011, 2014,2015
Turkish Republic Of Northern Cyprus	2000,2003,2004,2005,2009, 2010,2013

(*continued on next page*)

Table B.1 (*continued*).

Ireland	1997,2002,2007,2011,2016	Turkmenistan	2007
Israel	1996,1999,2003,2006,2009, 2013,2015	Uganda	1999,2001,2004,2006,2011,2016
Italy	1996,2001,2006,2008,2013	Ukraine	1998,1999,2002,2004,2006, 2007,2010,2012,2013,2014
Jamaica	1997,2002,2007,2011,2016	United Kingdom	1992,1997,2001,2005,2010, 2015,2017
Jordan	2003	United States	1992,1996,1998,2000,2002,2004, 2006,2008,2010,2012,2014,2016
Kazakhstan	1999,2005,2012,2015	Uruguay	1999,2004,2009,2014
Kenya	2002,2007,2013,2017	Uzbekistan	2007,2015,2016
Kiribati	1998,2003	Vanuatu	1998,2002,2004,2008,2012,2016
Korea, Dem. PeopleÕS Rep.	1992,1997,2000,2002,2004,2007, 2008,2012,2016,2017	Venezuela, Rb	2000,2005,2006,2010,2012,2013
Kosovo	2010,2014	Yemen, Rep.	1999,2003,2006,2012
Kyrgyz Republic	2000,2005,2009,2010,2011	Zambia	1996,2001,2002,2006,2008,2011, 2013,2015,2016
Latvia	1998,2002,2006,2010,2011,2014	Zimbabwe	2000,2005,2008,2013

Fig. B1. Republican Party of Albania.

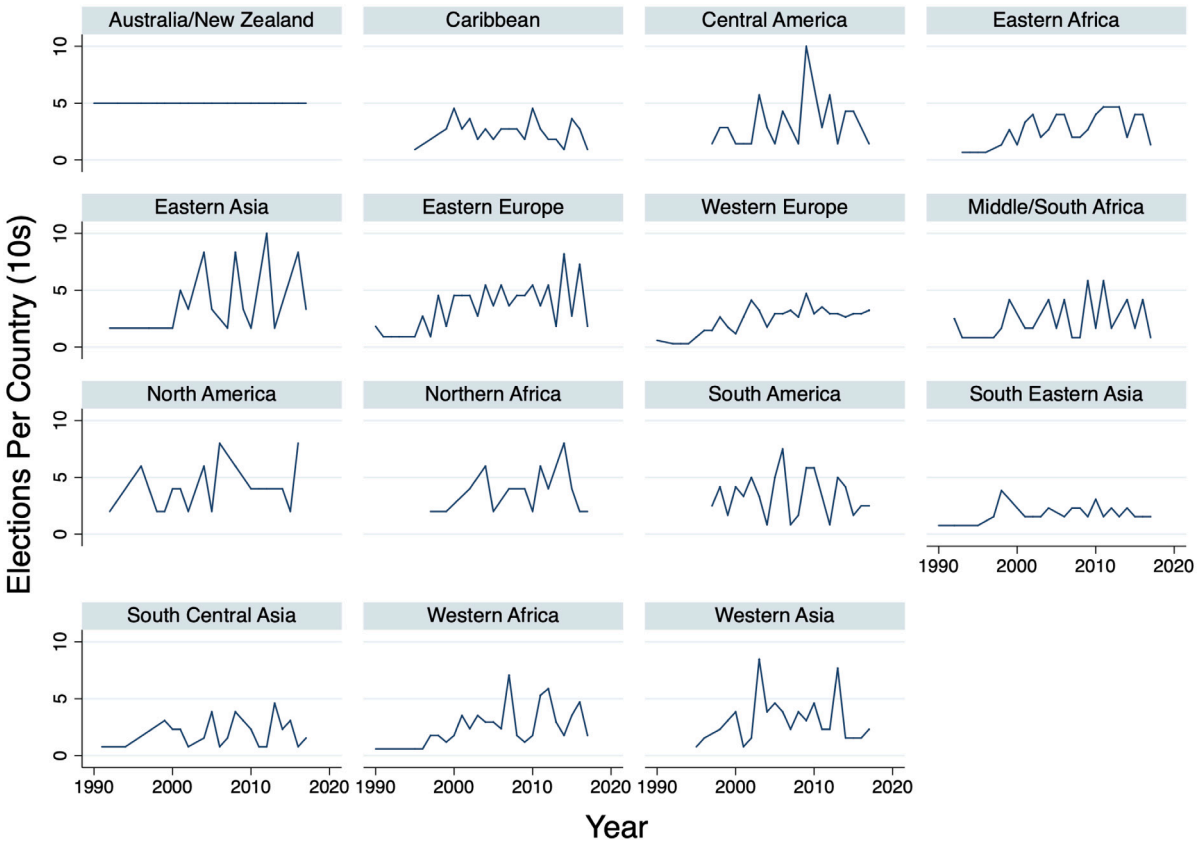

Fig. B2. Elections by Region. *Notes:* This figure plots the number of elections per 10 countries in each region. To conserve space some of the 21 regions are combined.

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